



ENCAP INVESTMENTS L.P.
EnCap Energy Capital Fund IX

Quarterly Review

As of December 31, 2022

Confidential



ENCAP INVESTMENTS L.P.

Energy Capital Fund IX

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**Section I: Summary of Significant Events and Valuation****Activity for the three months ended December 31, 2022**

Transactions		
<i>Type</i>	<i>#</i>	<i>\$ in millions</i>
Commitments	0	0.0
Investments	0	0.0
Distributions-Cash	10	153.0

In December 2022, the life of Fund IX was extended until December 31, 2024 as approved by a vote of the Advisory Board. EnCap agreed to waive all management fees during the life of the extension.

Fund IX made no commitment adjustments to portfolio companies.

Fund IX made no investments in portfolio companies.

Fund IX received cash distributions from the following portfolio companies (\$ in millions):

Distributions:

Felix	\$ 80.2
Protégé III	27.7
Sabalo	16.1
Phillips Energy IV	14.5
EnCap Minerals	11.8
Payrock	3.1
Excalibur	0.1
Paloma IV	0.1
Montage	(0.1)
Sierra	(0.5)
	<u>\$ 153.0</u>

Fund Performance Summary (\$ in millions)

The table below presents investment performance since inception. A valuation by investment is incorporated in the subsequent table.

<i>Date of Initial Investment</i>	<i>Total Committed</i>	<i>Capital Invested</i>	<i>Realized Proceeds</i>	<i>Unrealized Value</i>	<i>Total Value</i>	<i>Gross IRR</i>	<i>Net IRR</i>
Jan-13	\$ 5,823.3	\$ 5,327.3	\$ 6,184.8	\$ 2,911.3	\$ 9,096.1	15.0%	10.4%



ENCAP INVESTMENTS L.P.

EnCap Energy Capital Fund IX

Summary of Significant Events and Valuation

Portfolio Status

Fund IX								
(As of December 31, 2022; \$ in millions)								
Company	Date of Initial Investment	Commitment	Total Capital Invested	Realized Proceeds	Unrealized Value	Total Realized Proceeds & Unrealized Value	ROI	Gross IRR
<i>Realized or Substantially Realized Investments</i>								
Paloma III	Jan-13	\$ 51.2	\$ 51.2	\$ 107.6	\$ -	\$ 107.6	2.1x	46.2%
Payrock	Jan-13	66.8	66.8	308.6	0.2	308.8	4.6	86.0
Common III	Jan-13	60.4	60.4	11.7	-	11.7	0.2	(42.0)
Modern	Mar-13	128.9	128.9	30.5	-	30.5	0.2	(23.2)
Felix	Apr-13	381.9	381.9	1,954.1	17.3	1,971.4	5.2	99.7
QStar	Jun-13	338.5	338.5	826.7	-	826.7	2.4	101.7
Silverback	Nov-13	292.2	292.2	915.9	-	915.9	3.1	99.9
Sabalo	Mar-14	319.6	319.6	525.9	175.8	701.7	2.2	14.8
Fuse	Jun-14	134.8	134.8	-	-	-	0.0	(79.1)
Sierra	Sep-14	110.5	110.5	242.0	-	242.0	2.2	33.0
OGX III VNOM Shares	Jan-15	258.2	258.2	518.3	-	518.3	2.0	20.6
Southland	Feb-15	310.2	310.2	-	-	-	0.0	n/a
Phillips Energy IV	May-15	39.6	39.6	50.7	3.7	54.4	1.4	6.8
QStar II	Apr-17	12.8	12.8	0.2	-	0.2	0.0	(88.9)
		2,505.6	2,505.6	5,492.2	197.0	5,689.2	2.3x	42.6%
<i>Unrealized Investments</i>								
Bold III	Apr-13	232.0	232.0	-	481.9	481.9	2.1	
Montage	Jun-13	547.2	547.2	73.6	53.0	126.6	0.2	
Protégé III	Sep-13	773.2	517.0	213.9	440.6	654.5	1.3	
Excalibur	Oct-13	630.3	545.8	14.6	88.7	103.3	0.2	
Paloma IV	May-14	585.2	470.6	90.1	577.5	667.6	1.4	
Piedra III	Jun-14	328.0	302.0	166.4	756.2	922.6	3.1	
EnCap Minerals	Jan-15	221.8	207.1	134.0	316.4	450.4	2.2	
		3,317.7	2,821.7	692.6	2,714.3	3,406.9	1.2x	
		\$ 5,823.3	\$ 5,327.3	\$ 6,184.8	\$ 2,911.3	\$ 9,096.1	1.7x	15.0%

Note: Amount committed, invested and distributed shown net of \$52.8 million recallable bridge loan to Southland.

Comparison to prior quarter
(\$ in millions)

	Valuation		Q4 2022 Cash	Valuation Increase	% Change in Unrealized	Comments (> \$5MM and 5% change)
	9/30/2022	12/31/2022	Inv. (Distrib.)	(Decrease)	from 9/30/2022	
Payrock	\$ 3.5	\$ 0.2	\$ (3.1)	\$ (0.2)	-5.7%	
Felix	99.7	17.3	(80.2)	(2.2)	-2.2%	
Sabalo	151.7	175.8	(16.1)	40.2	26.5%	Increase in drilling activity on minerals acreage
Bold III	417.0	481.9	-	64.9	15.6%	Increase in ESTE public security price
Montage	55.4	53.0	0.1	(2.5)	-4.5%	
Protégé III	451.1	440.6	(27.7)	17.2	3.8%	
Excalibur	90.5	88.7	(0.1)	(1.7)	-1.9%	
Paloma IV	475.6	577.5	(0.1)	102.0	21.4%	Increased STACK activity and positive drilling results
Piedra III	729.1	756.2	-	27.1	3.7%	
Sierra	-	-	0.5	(0.5)	N/A	
EnCap Minerals	287.0	316.4	(11.8)	41.2	14.4%	Increase in drilling activity on minerals acreage
Phillips Energy IV	19.5	3.7	(14.5)	(1.3)	-6.7%	
	\$ 2,780.1	\$ 2,911.3	\$ (153.0)	\$ 284.2	10.2%	



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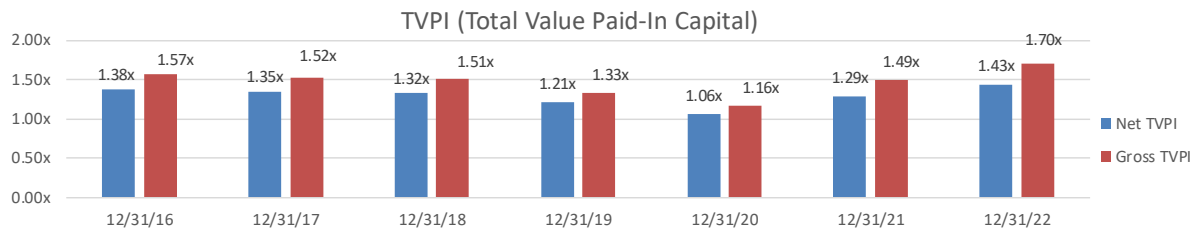
EnCap Energy Capital Fund IX
Summary of Significant Events and Valuation

Fund Status

(\$ in millions)

	12/31/16	12/31/17	12/31/18	12/31/19	12/31/20	12/31/21	12/31/22
Total Commitments	5,154.6	5,154.6	5,154.6	5,154.6	5,154.6	5,154.6	5,154.6
Total Paid-In Capital	4,798.2	5,464.5	5,718.6	5,817.7	5,877.0	5,913.1	5,935.2
Recallable Capital	746.2	919.1	919.1	980.1	980.6	981.1	981.1
% Total Capital Drawn*	78.6%	88.2%	93.1%	93.9%	95.0%	95.7%	96.7%
Remaining Commitment*	1,102.6	609.2	355.1	317.0	258.2	222.6	200.5
Investments at Cost	4,449.7	5,112.3	5,297.4	5,366.9	5,375.8	5,380.1	5,380.1
Investments at FMV	6,973.2	7,788.5	7,981.7	7,136.7	6,245.9	8,002.5	9,148.9
Gains (losses) - on unrealized companies	(302.3)	(234.3)	(201.0)	(1,049.0)	(1,289.3)	(303.9)	585.2
Gains (losses) - on realized companies	2,825.8	2,910.5	2,885.3	2,818.9	2,159.4	2,926.3	3,183.6
Gross Distributions	2,724.7	3,366.0	4,021.3	4,429.7	4,546.0	5,149.4	6,237.6
Cash Balance	705.8	84.9	71.6	47.7	54.6	35.6	36.9
# of Companies Funded	21	22	22	20	20	21	21
# of repeat teams	9	10	10	10	10	9	9
# of new teams	12	12	12	10	10	12	12
Realized above cost	5	5	6	6	6	8	9
Realized below cost	-	1	3	3	5	5	5
Unrealized above cost	7	9	7	4	3	4	5
Unrealized at cost	1	1	-	-	-	-	-
Unrealized below cost	8	6	6	7	6	4	2
Gross Distributions:							
% of total drawdowns	56.8%	61.6%	70.3%	76.1%	77.4%	87.1%	105.1%
% of committed capital	52.9%	65.3%	78.0%	85.9%	88.2%	99.9%	121.0%
Key Fund Valuation Metrics:							
Gross IRR	31.9%	24.3%	19.4%	12.2%	6.0%	12.8%	15.0%
Gross DPI (Distributions to investment)	0.61x	0.66x	0.76x	0.83x	0.85x	0.96x	1.16x
Gross RVPI (Residual value to paid-in capital)	0.95x	0.87x	0.75x	0.50x	0.32x	0.53x	0.54x
Gross TVPI (Total value to paid-in capital)	1.57x	1.52x	1.51x	1.33x	1.16x	1.49x	1.70x
Net to LPs:							
Net IRR	22.2%	16.8%	13.2%	8.1%	2.4%	8.3%	10.4%
DPI (Distributions to paid-in capital)	0.44x	0.61x	0.70x	0.76x	0.77x	0.87x	1.05x
RVPI (Residual value to paid-in capital)	0.94x	0.74x	0.62x	0.46x	0.29x	0.42x	0.39x
TVPI (Total value to paid-in capital)	1.38x	1.35x	1.32x	1.21x	1.06x	1.29x	1.43x

Historical Fund Performance (TVPI)



* Includes recallable capital

EnCap Energy Capital Fund IX
Summary of Significant Events and Valuation

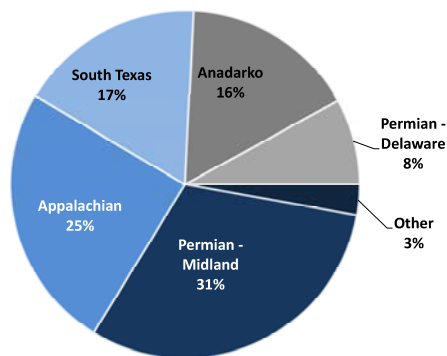
Projected Contributions and Distributions as a Percentage of Commitment

	2023	2024	2025
Contributions	2%	0%	0%
Distributions	25%	25%	0%

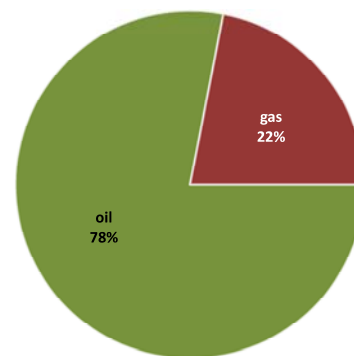
Portfolio Review and Discussion of Recent Transactions

Fund Capital Allocation

Fund IX Capital Invested By Basin (Unrealized)

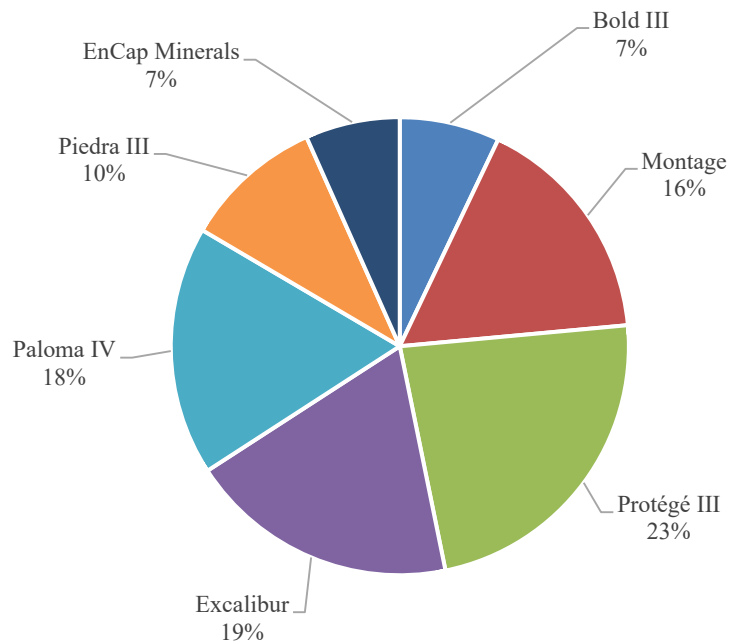


Fund IX Oil & Gas Mix (Unrealized - Investment Weighted)



gas @20:1 mcf/bo
NGL's included in oil @0.6bbl/bo

Fund IX Unrealized Commitment Concentration





Significant Events and Transactions

- Bold III (Earthstone)** - Continued to generate free cash flow and pay down modest debt profile
- Protégé III** - Continued development of their Eagle Ford asset; continued to make distributions while maintaining a modest leverage profile
- Sabalo** - Received final holdback from sale to Vital (previously Laredo); engaged TenOaks to market retained royalty interests
- Paloma IV** - Continued running a development program in light of compelling economics; expect to continue distributions from cash flow in 2023
- Piedra III** - Continued monitoring cash flow of its maturing portfolio of minerals in the Delaware and Midland basins; continued running an active development program
- Phillips IV** - Completed sale of STACK mineral assets to 89 Energy; received ~\$15 million in cash proceeds at closing
- EnCap Minerals** - Made ~\$121 million in distributions (\$11.8 million net to Fund IX); current industry activity should translate to growth for the entity in 2023

Environmental, Social and Governance Highlights

During the due diligence phase of our investment process, EnCap ensures that the prospective management team members are fully aligned with EnCap's Environmental, Social and Governance ("ESG") building blocks prior to making the investment decision. Upon partnering with a new team, EnCap requires each portfolio company to have a likeminded ESG policy and supporting policies and procedures in place. In addition, EnCap requires each portfolio company to report on significant ESG issues and provide details of ongoing ESG developments during each quarterly Board meeting. This information is used by EnCap to quantitatively measure ESG activities and the impact on the performance of each portfolio company.

During Q4 2022, EnCap managed Fund IX in accordance with ESG policies. There were no material changes to the ESG risks and opportunities facing the portfolio, and there were no material ESG incidents to report during the quarter.

Additionally, refer to our third EnCap Sustainability Report covering 2021 available on our FIS DX website.



Other Reporting Matters

In addition to this report (which contains all fund financial statements in Section IV), the following reports net to each Limited Partner are available on our Investran DX website:

1. Statement of Partner's Capital, including allocation of the following:
 - a. Management fees
 - b. Net operating income (loss)
 - c. Realized gains (losses)
 - d. Unrealized gains (losses)
 - e. Unrealized incentive allocation
 - f. Incentive payments to the GP
 - g. Contributions paid
 - h. Distributions received
 - i. Recalable distributions received
 - j. Tax withholdings, if applicable
 - k. Portfolio company summary cash flows
2. Status of Payout
3. ILPA Fee and Expense Reporting Template

Other reporting available on our Investran DX website includes:

1. Cash call and distribution notices
2. Quarterly management fee calculations
3. Supplemental fund and portfolio company information (available 45 days after quarter end/105 days after year end)
 - a. Fund organization information
 - b. Portfolio company organization information
 - c. Portfolio company financial information
4. Supplemental Schedule of Investments
5. All tax reporting
6. Annual audited financial statements
7. Advisory Board presentations
8. Legal documents

Please contact Katherine Cangelosi at Kcangelosi@encapinvestments.com if log on assistance is needed.



Section II: Industry Overview

Crude Oil Overview

Crude spot prices (“WTI”) finished the quarter up ~0.3% QoQ and ~6.4% YoY. Crude entered 2022 at ~\$75/Bbl, rallied twice beyond \$120/Bbl and finished the year with only a ~\$5/Bbl gain. Subsequent to quarter-end crude has traded in ~\$75/Bbl range. At this time last year the oil markets were broadly speculating how much Russian oil would end up leaving the market due to the Russian/Ukrainian War. Some analysts estimated that as much as ~7 MMBbl/d would leave the market and this bullish sentiment ultimately led to crude surpassing \$125/Bbl/d in March 2022. A number of other factors namely 1) Russian crude continuing to find a market despite sanctions 2) China’s strict covid policy 3) OPEC’s underperformance and 4) the Biden administration’s Strategic Petroleum Reserve (“SPR”) releases all contributed to oil’s underperformance during the second part of the year. In the near/medium-terms bullish oil price drivers include 1) China re-opening post Covid restrictions 2) SPR Oil releases tapering and 3) expected Russian/OPEC+ production cuts (Russia already announced a ~0.5 MMBbl/d cut for March 2023). Near/medium-terms bearish sentiments are largely driven by continued U.S. recession fears hampering global demand growth. Oil fundamentals over the next decade however remain strong as 1) projected increased energy consumption per capita and population growth and 2) global hydrocarbon underinvestment (~\$650 billion of capital is needed annually through 2030) likely push crude prices higher.

Natural Gas Overview

Natural gas spot prices (“Henry Hub”) finished the quarter down ~45.0% QoQ and ~7.9% YoY. Subsequent to quarter-end gas prices continued to deteriorate settling at a new 29 month low of ~\$2.10/MMBtu. During the year gas prices peaked in the ~\$8/MMBtu range in August 2022 as the world tried to digest the impact of the Russian/Ukrainian War on European and U.S. gas markets. Over the last few months gas storage has continued to build relative to the 5-year average. Underachieving demand continues to be the major theme as the excessively mild winter in Europe has helped the EU achieve a 20% reduction in gas demand vs the initial goal of 15%, which seemed like a lofty dream when it was established in the summer of 2022. Most analysts project limited upside for gas pricing in the near-term due to high current production and limited demand drivers in 2023. In the long-term 1) LNG exports 2) continued coal to gas switching and 3) the world’s continued transition to cleaner sources of fuel likely provide upside for pricing.

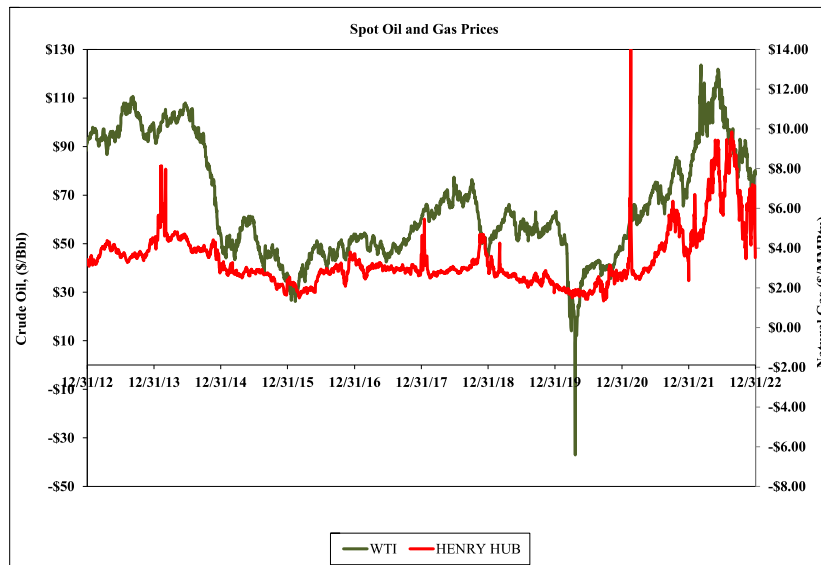


Figure 1: Oil & Gas Spot Prices

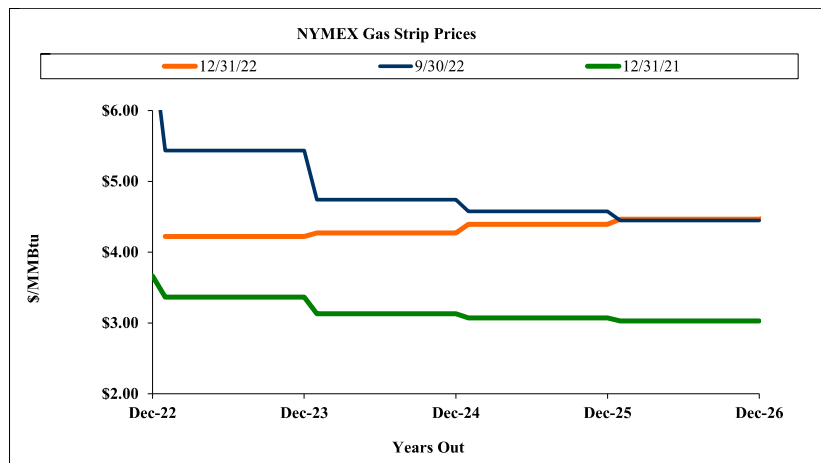


Figure 2: Natural Gas (Henry Hub) Strip Prices

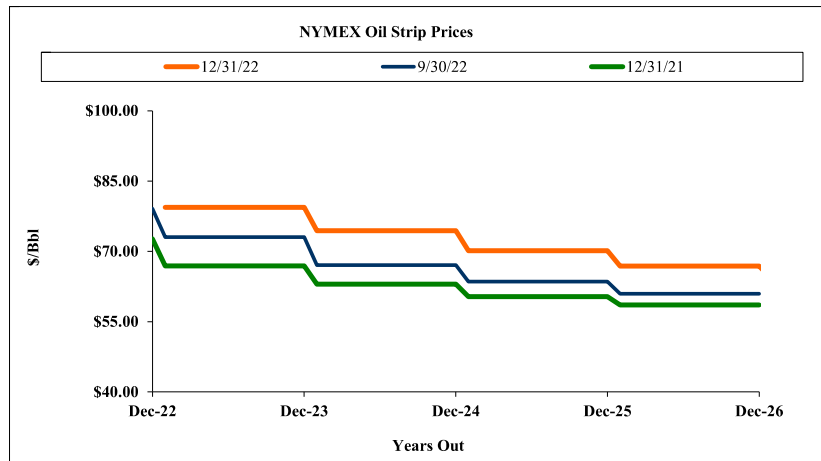


Figure 3: Crude Oil (WTI) Strip Prices



Drilling Activity

During Q4 2022, the total U.S. rig count (as measured by Baker Hughes) increased 1.8% QoQ to 779 rigs. This total rig count represented an increase of 32.9% YoY. The U.S. total natural gas rig count finished the quarter at 156 rigs, down from 159 rigs running at the end of Q3 2022. Year-over-year, the U.S. total natural gas rig count finished up 47.2%. The U.S. total oil rig count increased 2.8% during Q4 2022, moving from 604 rigs at the beginning of the quarter to 621 rigs at quarter-end. Year-over-year, the U.S. total oil rig count is up 29.4% or ~141 rigs.

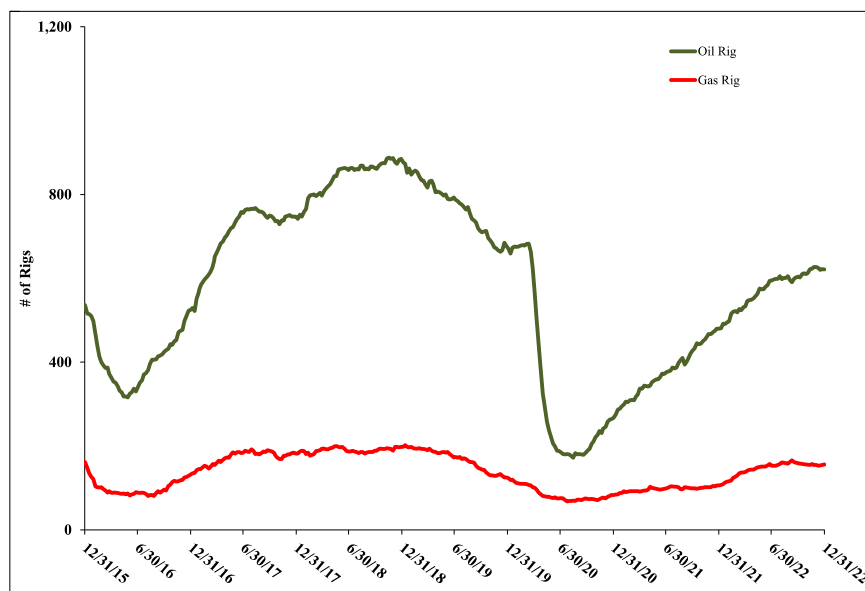


Figure 5: U.S. Total Onshore and Offshore Rig Count

M&A Activity

During 2022 the total M&A upstream deal count fell to its lowest level since 2005 and was down ~24% YoY. Total deal value declined by ~13% during the period to ~\$58 billion and was particularly depressed during the last half of 2022. The decreased upstream M&A deal flow was largely driven by 1) weakening commodity prices during the 2nd half of 2022 and 2) a generally weak U.S. macroeconomic picture and near-term recession fears. The need for public free cash flow heavy operators to secure core inventory and offset production declines should provide a positive backdrop for upstream M&A and private equity backed sellers during 2023. Total upstream M&A deal value came in at ~\$13 billion during Q4 2022, driven largely by the Hamm's family \$5.2 billion take-private of Continental Resources. Other notable transactions during the quarter included 1) Diamondback's \$1.5 billion purchase of Permian assets from Lario Oil & Gas 2) Marathon's \$3 billion purchase of Eagle Ford assets from Ensign Natural Resources and 3) Diamondback's \$1.6 billion purchase of Permian assets from Firebird Energy.

Report Sources: Enverus, Baker Hughes, Rapidan Energy Group, National Bank of Canada and U.S. Energy Information Administration.



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EnCap Energy Capital Fund IX

Section III: Portfolio Companies

Unrealized:

- | | |
|-----------------------------------|--------------|
| 1. BOLD ENERGY III (Earthstone) | 21. QSTAR II |
| 2. SOUTHWESTERN (Montage/Eclipse) | |
| 3. PROTÉGÉ ENERGY III | |
| 4. EXCALIBUR RESOURCES | |
| 5. PALOMA PARTNERS IV | |
| 6. PIEDRA ENERGY III | |
| 7. ENCAP MINERALS | |

Realized

- | |
|---------------------------------|
| 8. COMMON RESOURCES III |
| 9. PALOMA PARTNERS III |
| 10. PAYROCK ENERGY |
| 11. MODERN RESOURCES |
| 12. FELIX ENERGY |
| 13. QSTAR |
| 14. SILVERBACK EXPLORATION |
| 15. SABALO ENERGY |
| 16. FUSE ENERGY |
| 17. SIERRA OIL & GAS |
| 18. OGX HOLDINGS III |
| 19. SOUTHLAND ROYALTY |
| 20. PHILLIPS ENERGY PARTNERS IV |



Valuation Assumptions

Valuations have generally been determined as follows (subject to adjustment for particular circumstances and review by the Advisory Board):

- 1) Private equity securities and mineral interests held during the initial investment period are valued at cost (which is considered fair value) until such time as there is a measurable change in fair market value based upon the assumptions below.
- 2) Private equity exploration and production investments held after the initial investment period (generally longer than twelve months unless an expansion from an earlier fund) are valued at the risk adjusted PV10 of the future cash flow stream. The future cash flow stream is based on third party engineered projections applying the NYMEX forward strip pricing as of the valuation date.

The reserve categories were generally risked as follows:

- a. PDP – no discount applied
- b. PDNP – a 20% discount applied
- c. PUD – a 40% discount applied
- d. Probable – an 80% discount applied
- e. Possible – a 90% discount applied

The average NYMEX strip prices by year as of December 31, 2022 were as follows:

	<u>\$/BO</u>	<u>\$/MMBTU</u>
2023	79.40	4.22
2024	74.42	4.27
2025	70.16	4.39
2026	66.88	4.46
2027+	64.14	4.50

Unevaluated oil and gas leaseholds and other operating assets, such as gathering systems and processing plants, are valued in consideration of the original acquisition price and more recent public or private transactions in similar assets.

- 3) Non-producing and early stage mineral interests and ORRIs are valued at precedent transactions or discounted cash flows if underlying third-party reserve reports are available. Mature producing mineral interests and ORRIs are valued using a cash flow multiple of actual trailing 12 month cash flow. The cash multiple utilized is derived by taking into consideration market and asset specific factors including, but not limited to: location; life cycle or maturity of the asset; projected growth profile; precedent transactions; and comparable public market trading multiples.
- 4) Montage is valued based on 9,060,258 shares of Southwestern valued at the quarter end closing price of \$5.85 per share.
- 5) Sabalo is valued as follows:
 - a. Remaining mineral acreage and ORRI's valued using a cash flow multiple of actual trailing 12 month cash flow
 - b. Expected indemnity holdback per terms of the sale agreement



- 6) Felix is valued as follows:
 - a. Expected indemnity holdbacks per the terms of their sale agreement
 - b. Remaining NWC from the balance sheet
- 7) Payrock is valued based on the expected indemnity holdbacks per the terms of their sale agreement.
- 8) Bold is valued based on 33.957 MM common B units of Earthstone Energy (NYSE:ESTE) valued at the quarter end share price of \$14.23/share.
- 9) Excalibur is valued as follows:
 - a. 4,704,247 shares of Southwestern Energy valued at the quarter end closing price of \$5.85 per share
 - b. Ownership of the Iron Horse midstream and TOM STACK midstream JVs
- 10) EnCap Minerals is valued based on the remaining mineral acreage and ORRI's valued using a cash flow multiple of actual trailing 12 month cash flow plus NWC and debt from the balance sheet.
- 11) Phillips Energy IV is valued based on the expected indemnity holdbacks per the terms of their sale agreement.



Bold Energy III LLC (Earthstone)

Company Description

Bold III was a privately held Midland, Texas based independent oil and gas acquisition and development company focused on acquiring and exploiting reserves in the Permian Basin of West Texas. Bold was managed by eight seasoned oil and gas professionals including, Joe Castillo (President), David Cox (VP of Engineering & Business Development), Peggy Worthington (Business Development Manager), Teri McGuigan (Land Manager) and Robert Soza (Drilling Completion Manager). The team initially partnered with EnCap Fund V in Bold Energy I in 2005 and subsequently sold the company to Occidental Petroleum in May 2008 for approximately \$94 million in cash, providing a 2.4x ROI and 42% IRR on Fund V's \$22.8 million investment. The team then partnered with EnCap Energy Capital Fund VII in 2008 and subsequently sold its two largest assets in separate transactions providing \$58.5 million of distributions on \$52.4 million invested, realizing a 1.1x ROI on Fund VII's investment.

Transaction Summary

In April 2013, Fund IX formed a limited liability company with Bold III, committing \$217 million. The management team committed \$8 million providing total capital of \$225 million. The investment takes the form of common equity with Fund IX receiving 96.4% of the available cash flow until an 8% IRR and a 1.25x ROI is earned (based on a fully funded scenario), and thereafter distributions are allocated on a graduated basis until higher IRR and ROI targets are met. Fund IX holds a majority position on the Board of Managers.

Post-Investment Activity

Since closing its equity commitment in April 2013, Bold acquired a meaningful acreage position in the Wolfcamp Shale in Reagan, Irion, Upton, and Midland Counties, TX. In Q2 2016, Bold acquired 2,900 net acres, all of which are HBP, in Upton County from Marathon Oil Corporation for \$33 million. The acreage was proven with offset wells in three benches with an additional two prospective benches. Along with the acquisition, Bold's commitment was expanded by \$50 million from Fund IX in July 2016, which increased the company's total commitment to \$276.5 million.

In Q4 2016, Bold entered into a definitive contribution agreement with Earthstone Energy Inc. under which Earthstone acquired all of the outstanding membership interests of Bold. Current Earthstone stockholders received approximately 39% of the combined company, and Bold members received the remaining 61% on a fully diluted basis. The transaction represented EnCap's view of the valuation arbitrage that could be captured by holding these high growth Midland Basin assets in a publicly traded entity. In May 2017, the acquisition closed, and Earthstone assumed control of all operations.

On October 17, 2018, Earthstone announced a definitive agreement to purchase Sabalo Energy ("Sabalo"), a Fund IX portfolio company. On December 22, 2018, Earthstone and Sabalo terminated the transaction due to significant declines in commodity prices, which severely impacted the public capital markets.

In April 2020, Robert Anderson, longtime President of Earthstone, officially became CEO of the Company. Frank Lodzinski assumed the role of Executive Chairman and will remain engaged with company affairs.

In Q4 2020, Earthstone acquired Independence Resources Management, a privately held independent E&P company backed by Warburg Pincus and its affiliates for \$182 million, consisting of \$131.2 million in cash and 12.7 million Earthstone Class A common stock.

On July 20, 2021, Earthstone completed the previously announced acquisition of Tracker Resource Development III, LLC ("Tracker") and its joint venture partner Sequel Energy Group, LLC ("Sequel") for \$81.6 million cash and 6.2 million Earthstone Class A common shares (~\$126.5 million of total proceeds).

On November 2, 2021, Earthstone completed the acquisition of privately held Irion County, TX operated assets from Foreland Investments LP and from BCC-Foreland LLC (collectively, "Foreland") for \$49.2 million in cash and 2.6 million shares of Earthstone's Class A common stock (~\$73.2 million of total

Quarterly Review

As of December 31, 2022

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proceeds). These assets are due east and offset the Tracker assets acquired by Earthstone in the summer of 2021.

On February 15, 2022, the company closed its acquisition of the assets of privately held Chisholm Energy Holdings, LLC ("Chisholm") from Warburg Pincus and its affiliates for \$604 million in total proceeds. Total deal consideration consisted of \$340 million in cash, \$70 million of deferred cash due over the 12 months after closing, and approximately 19.4 million shares of Earthstone's Class A common stock. The assets are located in the northern Delaware Basin of New Mexico and provide Earthstone with its first footprint in the Delaware Basin.

On April 14, 2022, Earthstone completed a bolt-on deal to acquire privately held operated assets in the Southern Midland Basin from Bighorn Permian Resources, LLC ("Bighorn") for a total consideration of \$713 million. Earthstone funded \$639 million of cash and issued 5.7 million shares of Earthstone's Class A common stock to Bighorn. To help fund the cash portion of the deal, Earthstone issued \$550 million of 8% senior unsecured notes in April 2022 and closed a \$280 million PIPE that included \$220 million from EnCap (19.8 million new shares of Earthstone Class A common stock net to Fund XI) and \$60 million from Post Oak Energy Capital ("Post Oak") (5.4 million new shares to Earthstone Class A common stock). In conjunction with this transaction, EnCap Fund VII also sold all 4.6 million of its Earthstone shares to Post Oak for \$51 million in total proceeds. Negotiation of deal terms was led by Post Oak and EnCap received all necessary Advisory Board approvals related to the Bighorn transaction.

On August 10, 2022, Earthstone closed its acquisition of Titus Oil & Gas Production, LLC's northern Delaware Basin assets in New Mexico for \$635 million including \$575 million cash and \$60 million of equity (3.9 million shares). The deal was priced at a discount to PDP PV10 value and helps Earthstone expand its highly economic inventory in the core of the Delaware Basin and add additional scale.

Recent Events

Earthstone is very well positioned to generate substantial free cash flow at current commodity price levels and will use free cash flow to: (1) paydown its moderate leverage profile, (2) return capital to shareholders, and (3) make opportunistic accretive acquisitions. In Q4 2022, Earthstone repurchased ~2.1% of the company's outstanding shares.

Valuation (\$000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Apr-13	\$231,964	\$0	\$481,882	\$481,882	2.08x	N/A



Montage Resources Corporation (formerly Eclipse Resources)

Company Description

Montage Resources, was a publicly-held oil and gas acquisition and development company based in Fort Worth, TX, with assets in the Utica and Marcellus Shales of eastern Ohio. Before its merger with Southwestern Energy in November 2020, the company was led by John Reinhart, the former Chief Executive Officer of Blue Ridge Mountain Resources. This investment was originally Eclipse Resources, managed by Ben Hulbert (CEO) and other senior executives.

Transaction Summary

In January 2011, Fund VIII made an initial equity commitment to Eclipse for \$145 million. Management committed \$5 million, providing an initial total equity commitment of \$150 million to the company. During Q4 2011, the company's equity commitment was increased to \$230 million (\$79 million net to Fund VIII and \$1 million net to management). In December 2011, a group of silent co-investors assumed \$80 million of Fund VIII's commitment amount bringing Fund VIII's new maximum commitment amount to \$144 million. These combined commitments provided the company with a \$230 million total equity commitment.

During Q2 2013, Fund VIII increased its commitment from \$144 million to \$300 million, Fund VIII Co-Investment Fund increased its commitment from \$80 million to \$167 million, and Fund IX made a new commitment of \$300 million for a total equity commitment of \$773 million. During Q1 2014, Fund VIII and Fund IX both increased their commitments from \$300 million to \$358 million, Fund VIII Co-Investment Fund increased its commitment from \$167 million to \$199 million, and management increased its commitment from \$6 million to \$7 million for a total equity commitment of \$923 million. In December 2014, Fund IX and Fund VIII Co-Investment Fund expanded their commitments to Eclipse by \$189 million and \$51 million, respectively, (\$240 million total) to fund their portion of the PIPE offering. The investment is structured in the form of common equity with the investor group receiving 98.9% of distributed cash until an 8% IRR and 1.1x ROI, and thereafter distributions will be allocated on a graduated basis as certain ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post-Investment Activity

During Q2 2012, Eclipse closed on its joint venture with Antero Resources in its Utica Shale acreage located primarily in Noble County, Ohio. Eclipse sold a 70% working interest in ~30,000 gross acres for ~\$120 million of sales proceeds (\$6,000/acre). The acreage was sold at a premium compared to Eclipse's original cost basis in the play. Furthermore, the sale minimized the amount of outstanding risk capital allocated towards acreage and allowed the company to maintain a meaningful leasehold position within the emerging Utica Shale.

On March 15, 2013, Eclipse signed a stock purchase agreement to acquire a private, Ohio-based operator for \$650 million. The seller's assets consisted of over 185,000 net acres located in Ohio with approximately 50,000 net operated acres predominately located in the core of the wet gas/condensate window of the Utica Shale that were largely contiguous with Eclipse's then-current acreage position and surrounded by impressive well results from operators in the area including Gulfport, Antero, PDC, Rex Energy, and CONSOL. The remaining 130,000+ net acres are located in the oil window of the Utica Shale and are largely HBP, offering potential upside in the future. Eclipse closed this acquisition in June 2013.

On June 19, 2014, Eclipse priced its initial public offering and began trading on the New York Stock Exchange under the ticker "ECR" the following morning. Through the offering, the company raised ~\$550 million of net primary proceeds and ~\$225 million of net secondary proceeds. The \$27.00 IPO price implied a total company equity value of \$4.3 billion, translating to >\$40,000 per acre, ~40x 2014E EV/EBITDA, and ~7.2x 2015E EV/EBITDA. The company will use the primary proceeds to fund its capital development program and for other general corporate uses. The secondary proceeds were



distributed to investors and returned ~29% of then-current capital invested for Fund VIII and Fund VIII Co-Invest and ~22% for Fund IX.

The IPO achieved a premium public valuation and accomplished the goal of capitalizing the company to execute its go-forward development plan, while also returning a meaningful amount of capital to investors. The EnCap Board members retained their seats on Eclipse's Board to help guide continued value creation, and EnCap will seek to prudently and opportunistically exit its stock position in Eclipse over time.

On January 29, 2015, Eclipse closed a \$440 million PIPE offering including \$315 million from EnCap and management (\$29 million to Fund VIII, \$218 million to Fund IX, \$67 million to the Fund VIII Co-Investment Fund, and \$0.6 million to management) and \$125 million from outside institutional investors. Fund IX and Fund VIII Co-Investment Fund expanded their commitments to Eclipse by \$189 million and \$51 million, respectively, (\$240 million total) to fund their portion of the PIPE offering. Proceeds from the offering significantly enhanced Eclipse's liquidity position and will be used to fund the company's 2015 capital program. Pro forma for the offering, EnCap and management hold 78% of the company's total outstanding stock.

On June 19, 2015, Eclipse announced the pricing of a \$550 million private placement of senior unsecured notes with an 8.875% coupon, maturing in 2023. The notes were priced at 97.903% of face value, resulting in \$525.5 million of net proceeds. Approximately \$510.7 million of net proceeds from the offering will be used to redeem the company's current outstanding 12% senior unsecured PIK notes due 2018. The remaining net proceeds will be utilized to fund the company's 2015 capital program. This debt offering will provide more conventional debt terms and covenants and easier ability to access the capital markets in the future.

On June 28, 2016, Eclipse announced a follow-on equity offering for 37.5 million shares priced at \$3.50 per share, equating to approximately \$124 million in net proceeds. Proceeds from this offering will be used to fund the company's 2017 development plan. Subsequently, in December 2016, Eclipse announced the sale of ~9,900 net acres in eastern Noble County and western Monroe County, Ohio for \$63.8 million. This acreage was non-core to the overall Eclipse acreage position and included minimal production of ~1 MMcf/d. Proceeds from the follow-on offering and this divestiture strengthened Eclipse's balance sheet and provided liquidity to adequately capitalize the company to fund its 2017 development plan.

On January 22, 2018, Eclipse closed the previously announced "Flat Castle" acquisition from Travis Peak Resources for \$93.7 million of Eclipse stock. The assets consists of ~44,500 net acres in Tioga and Potter Counties, PA. The acreage is contiguous with few unit size restrictions, making it highly suitable for super-lateral development. Eclipse estimates that the acquisition adds over 85 future dry gas drilling locations with EUR's between 2.0 and 2.3 Bcf per 1,000' of lateral. Additionally, the Company entered into an option purchase agreement to acquire Cardinal NE Holdings, LLC ("Cardinal") for an aggregate purchase price of \$18.3 million in cash, which ECR subsequently sold to DTE in Q3 2018. Cardinal owned midstream infrastructure with associated gathering rights on the Flat Castle acreage acquired by Eclipse.

On February 28, 2019, Eclipse closed its all-stock merger with Blue Ridge Mountain Resources, Inc. As part of the transaction, Blue Ridge stockholders received consideration consisting of 4.4259 shares of Eclipse Resources common stock for each share of Blue Ridge common stock, before adjustment for a 15-to-1 reverse stock split of Eclipse Resources common stock to be effected concurrently with closing of the Transaction. Upon completion of the merger, Eclipse Resources changed its name to Montage Resources Corporation and now trades on the New York Stock Exchange under the symbol "MR".

On November 13, 2020, Montage closed on its previously announced all-stock merger with Southwestern Energy. Montage shareholders received 1.8656 shares of Southwestern for each Montage share. Upon closing the transaction, EnCap with its Funds collectively owned ~26.2MM shares of Southwestern and Fund IX held ~13.8MM shares of Southwestern (including ~4.7MM shares held via Excalibur), representing ~3.7% and ~1.9% ownership, respectively. Currently, Fund IX holds 1.2% ownership in



Southwestern (including the shares held via Excalibur) after the company acquired Indigo Natural Resources in a \$2.7 billion transaction including \$1.6 billion in stock.

Recent Events

We intend to closely monitor the performance of SWN and opportunistically exit the stock when market conditions justify doing so.

Valuation (\$000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Jun-13	\$547,244	\$73,605	\$53,003	\$126,608	0.23x	N/A



Protégé Energy Holdings III LLC

Company Description

Protégé Energy III, LLC (“Protégé III”) is a Tulsa, Oklahoma-based privately held oil and gas company formed to pursue oil/liquids-rich opportunities in the onshore U.S. through a combination of (i) producing property acquisitions with significant development upside and (ii) low-risk drilling in areas with stacked pay. The management team is led by Marty Thalken, a seasoned oil and gas executive with extensive experience successfully executing both acquire-and-exploit and low-risk drilling strategies. Protégé III represents Mr. Thalken’s third consecutive partnership with EnCap, a relationship that began in 2004 with the formation of Protégé I which sold for \$94 million in 2008, generating a 2.1x ROI and 35% IRR for Fund IV. Most recently, Mr. Thalken and EnCap formed Protégé II which sold in 2012 and is expected to ultimately generate a 2.2x ROI and 44% IRR for Fund VII. Prior to partnering with EnCap, Mr. Thalken served as Acquisitions and Planning Team Leader of the Mid-Continent Region for Newfield Exploration and Vice President of Acquisitions for Vintage Petroleum (sold to OXY in late 2005 for \$3.5 billion) where he was involved in over 110 asset and corporate-level transactions totaling \$1.8 billion.

While Mr. Thalken had the opportunity to retain his Protégé II management team, he ultimately chose to build a new, high-powered management team that is capable of taking Protégé III to the next level. Together, the team has a cohesive personality and mindset developed from past relationships and a history working together as well as extensive experience in both A&D (collectively acquiring in excess of \$3 billion in producing properties) and building and operating significant greenfield acreage positions.

Cinco Oil & Gas, LLC (“Cinco”) was a privately-held, Dallas-based independent oil and gas company formed to pursue lease-and-drill opportunities and proved reserve acquisitions with an initial focus on the Eagle Ford and Powder River Basin. Cinco is led by Jon Glass (CEO) and a management team consisting of Ed Travis (SVP-COO), Wayne Stoltenberg (SVP-CFO), Chris Kidd (SVP-Business Development & Land), Craig Pollard (VP-Exploration) and Leigh Prieto (VP-CAO). This group worked together for over six years at Cinco Resources, Inc. The group’s skill sets are highly complementary and together their experience spans all of the major upstream oil and gas disciplines. Each member has substantial, relevant experience and industry contacts from past roles at companies including Brigham, Wynn Crosby, Bear Stearns, Nadel & Gussman, Netherland Sewell and Pioneer Natural Resources.

Transaction Summary

In September 2013, EnCap and management formed Protégé III with a \$300 million total equity capitalization, with Fund IX committing \$294 million (98%) and management contributing the remaining \$6 million (2%). In September 2016, Protégé III’s equity commitment was expanded to \$500 million, with Fund IX increasing its commitment to \$490 million (98%) and management expanding its commitment to \$10 million (2%). The investment is structured in the form of common equity with Fund IX receiving 98% of distributed cash until an 8% IRR and 1.25x ROI is earned; thereafter, distributions are allocated on a graduated basis until higher IRR and ROI targets are met. Fund IX holds a majority position on the company’s Board of Managers.

In January 2014, Fund IX committed \$299 million and management committed \$4 million, providing a total equity commitment of \$303 million to Cinco upon closing. In addition, Yorktown Partners, LLC and EnCap Fund VII contributed Powder River basin acreage valued at \$54 million and \$33 million, respectively, to Cheyenne River LLC, operated by Cinco Oil & Gas. The investment is structured in the form of common equity with Fund IX receiving 99.67% of distributed cash until an 8% IRR or 1.25x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

In March 2019, EnCap closed on the consolidation of Cinco’s Atascosa County, Texas assets under the management of Protégé III. The assets consist of ~13k net acres and ~1,800 boepd production in Atascosa County, Texas targeting the Eagle Ford. The combined assets have a unfunded equity commitment of \$265 million which includes the release of \$15.8 million of Cinco’s remaining commitment.

Quarterly Review

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**Post-Investment Activity**

At inception, in a mid-\$4 gas environment, Protégé focused on leveraging its success in Appalachia to build a Utica extension play in southern Washington County, Ohio. The company assembled a ~17,000 net acre position and drilled one horizontal test well in late 2015. Despite encouraging early-time results, the well's production rate dropped below type curve after three months due to an increase in water cut. Management believes there is value to be realized from the asset but the well underperformance combined with weak gas prices, challenged basis differentials, and acreage expirations led to a decision to limit capital spending in the play and to evaluate strategic alternatives. In early 2016, Protégé made the decision to pivot its primary focus to the Eagle Ford.

In Q3 2016, Protégé III closed a \$310MM acquisition of Newfield's Eagle Ford assets, which consisted of ~22,800 net acres and ~7,100 boe/d of production in Dimmit and Atascosa Counties, Texas.

EnCap has decided to transition management of Protégé to Fund X-backed Verdun in order to realize overhead efficiencies in the challenged current market environment. Verdun has a complementary asset base in the Eagle Ford and has a demonstrated ability to execute on development of its assets. An MSA was signed, and Verdun took over operations in Q2 2020.

Recent Events

Protégé continues to develop its asset base within cash flow. We expect Protégé to continue the distribution program that they initiated in December 2021. As a reminder, Protégé is currently being managed by Verdun Oil and Gas through an MSA arrangement.

Valuation (\$000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Sep-13	\$516,951	\$213,873	\$440,650	\$654,523	1.27x	N/A



Excalibur Resources, LLC

Company Description

Excalibur is a privately-held, Dallas-based independent oil and gas company formed to pursue an acquire-and-exploit, asset-aggregation strategy focused on building a largely HBP asset base in and around existing vertical production from low-permeability, conventional reservoirs that can be economically developed using modern horizontal drilling and completion techniques. Excalibur is comprised of a group of talented industry veterans with close to 200 years of collective experience across all of the major upstream oil and gas disciplines and is led by Bob Unger (CEO). Mr. Unger will draw upon his experience at Marathon as Northern U.S. Business Unit Leader and J.M. Huber as SVP of the Northern Business Unit. Management initially plans to focus on the Western Anadarko Basin where attractive basin attributes are present, and the team has extensive prior experience and contacts that will allow for unique, proprietary opportunities and operational advantages.

Travis Peak Resources, LLC (“Travis Peak”) is a privately-held, Austin-based independent oil and gas company formed to pursue the identification, acquisition and exploration of oil and gas resource plays in various U.S. basins. Travis Peak is led by Jim Addison, the former General Manager of Newfield Exploration’s Rockies and Mid-Continent Business Units. Mr. Addison is a proven value creator and a skillful and experienced leader. The other senior management team consists of George Grunau (SVP-Exploration), Clint Calhoun (VP-Engineering), Jerry Ilseng (VP-Operations), and Ben Ellis (CFO). Mr. Addison and Mr. Calhoun previously worked together at Newfield and Mr. Grunau and Mr. Ilseng previously held leadership roles in public and private companies including United Resources, Samson Resources, Exxon, Pioneer Natural Resources and Amoco Production. Management plans to employ a two-pronged strategy: (i) be a “fast-follower” to resource plays in areas with higher-certainty, executable returns and (ii) acquire and exploit fields in more mature, conventional areas utilizing modern drilling and completion technologies.

Transaction Summary

In September 2013, Fund IX committed \$198 million to Excalibur and management committed \$2 million, providing a total equity commitment to Excalibur of \$200 million.

In November 2013, Fund IX initially committed \$248.5 million to Travis Peak and management committed \$1.5 million, providing a total equity commitment to Travis Peak of \$250 million. Subsequently, through a series of commitment expansions, the total equity commitment was increased to \$541 million, comprised of \$539 million from Fund IX and \$2 million from management.

Post-Investment Activity

Excalibur built an asset in the Western Anadarko Basin (Caddo, Custer, and Dewey Counties, OK) consisting of ~44k net acres of deep rights (~30k net acres prospective for the STACK), ~39k net acres of shallow rights (prospective for Pennsylvanian-aged Sands), and ~1,100 Boe/d of associated production. The company initially entered the area in search of shallow, Pennsylvanian-aged sand plays. However, management recognized the evolution of the deeper STACK play as it expanded northwest and quickly began seeking acquisition opportunities to gain access to the shallower targets, as well as the deeper STACK horizons like the Meramec, Osage, and Woodford.

In Q2 2016, Excalibur entered into a JV with Tall Oak Midstream II (“Tall Oak II”), an EnCap Flatrock portfolio company, whereby Excalibur dedicated the majority of its acreage in exchange for a 17.5% interest in Tall Oak II’s system that is focused on capturing acreage and volume dedications throughout the NW STACK extension. Furthermore, over the course of its history, Excalibur drilled several wells in various shallow targets (Cleveland, Red Fork, and Marchand) and wells in the deeper Meramec target with mixed results. Excalibur’s deep Meramec wells proved the ability to deliver prolific and consistent resource, but the economics were challenged by depressed gas and NGL prices, as well as D&C cost overruns.



After inception, Travis Peak pursued a dry gas Utica project in Tioga and Potter Counties, PA. Ultimately, the company assembled a largely contiguous ~44,500 net acre position (84.2% NRI) at an average cost basis of ~\$2,650/net acre. Travis Peak completed its first and only horizontal well in January 2017, which reinforced the resource potential of the acreage. In January 2018, Travis Peak sold this asset to Eclipse Resources Corporation (NYSE: ECR) for \$93.7 million in the form of ECR stock. Subsequently, ECR merged with Blue Ridge Mountain Resources, Inc., and the combined entity changed its name to Montage Resources Corporation (NYSE: MR) and underwent a reverse stock split. The original equity consideration is now represented by 2.5 million shares in MR. Travis Peak also retained an ORRI portfolio across the position originally sold to ECR.

In November 2016, Travis Peak entered the Merge play of the Anadarko Basin, positioned between the STACK and SCOOP (primarily in Canadian, Grady, and McClain Counties, OK), with a \$70 million acquisition of ~9,800 net acres. The company ultimately grew its position to ~45,000 net acres at an all-in average cost basis of ~\$5,800 per acre through a series of negotiated deals and drilled 20 operated horizontal wells with mixed results.

In December 2017, Travis Peak executed a JV agreement with Cardinal Midstream III, LLC (“Cardinal III”), an EnCap Flatrock portfolio company. The JV, Iron Horse Midstream, LLC (“Iron Horse”), operates a rich gas gathering and processing system in the Merge play. In Q2 2018, Cardinal III increased the scale and footprint of the Iron Horse system by bringing Camino Natural Resources, a Natural Gas Partners (“NGP”) portfolio company, and NGP into the JV. With an additional ~100,000 net acres dedicated from Camino, Iron Horse controls ~150,000 net acres in the play. Iron Horse is owned 25% by Cardinal III, 40% by Camino, 25% by NGP, and 10% by Fund IX.

In Q3 2018, Travis Peak ran a fully marketed sales process of its Merge upstream assets with TPH as its advisor. After receiving no acceptable third party bids, EnCap and Paloma Partners IV, LLC (“Paloma IV”), a Fund IX portfolio company, negotiated a \$173.0 million asset value for the properties. Accordingly, in Q1 2019, Paloma IV assumed Travis Peak’s existing debt and issued \$106.7 million of Paloma IV equity to Fund IX. EnCap viewed this consolidation as a solution to high-grade the management of the assets and operations, while increasing scale and reducing G&A. Recently, Travis Peak’s remaining assets (10% equity ownership in Iron Horse, 2.5 million shares of MR stock, and ORRI portfolio in Tioga and Potter Counties, PA) were transferred under Excalibur, which is 100% owned by Fund IX.

In Q4 2019, Excalibur contributed its STACK upstream assets to Paloma IV. As part of the negotiated transaction, Paloma IV assumed Excalibur’s balance sheet, which resulted in no equity ownership adjustment for Paloma IV’s members. At closing, Excalibur’s contributed assets included ~40,000 net acres with ~15 MMcfe/d (95% gas and NGLs). This combination high-graded management of the assets and operations under Paloma IV and reduced the overall G&A burden. Excalibur retained the equity interest in the Tall Oak II JV. In Q4 2020, Southwestern Energy (NYSE: SWN) closed its all-stock transaction with MR, and Excalibur received 4.7 million shares in exchange for its existing MR position.

In Q2 2021, Tall Oak II was sold to Tailwater Capital for cash consideration and also retained an asset with future value.

Recent Events

Excalibur, owned 100% by Fund IX, will continue to hold the following assets: (i) 10% equity ownership in Iron Horse, (ii) 4.7 million shares of SWN stock, and (iii) a portfolio of ORRIs in Tioga and Potter Counties, PA.

Valuation (\$000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Oct-13	\$545,820	\$14,585	\$88,697	\$103,282	0.19x	N/A



Paloma Partners IV, LLC

Company Description

Paloma IV is a privately-held Houston-based independent oil and gas company led by Chris O'Sullivan (President), John Hastings (EVP-Geology), Mark Gabrisch (EVP & COO) and Bobby Poirrier (CFO). EnCap has a significant track record of value creation with Mr. O'Sullivan from its Fund III investment in San Juan Partners in 1998 (67.2% IRR, 1.8x ROI), its Fund VI investment in Paloma Barnett in 2007 (198% IRR, 2.1x ROI), its Fund VII investment in Paloma II (78% IRR, 3.3x ROI), and its Fund VIII and IX investments in Paloma III (46% IRR, 2.1x ROI). Paloma IV is focused on a leasing and development strategy targeting U.S. resource plays. Similar to their strategy in Paloma III, Management will use greenfield leasing and acquisitions to build a meaningful footprint in a play, then utilize "trade" acreage to consolidate their land position into drillable blocks in which the company will have a high working interest.

Transaction Summary

In May 2014, Fund IX committed \$348.0 million and Macquarie committed \$40.0 million to Paloma IV. Management committed \$12.0 million, providing a total equity commitment of \$400.0 million to the company. In August 2017, Paloma IV's equity commitment was expanded to a \$550.0 million total commitment, including \$478.5 from Fund IX, \$55.0 million from Macquarie, and \$16.5 million from the Paloma management team. The investment is structured in the form of common equity with Fund IX receiving a proportionate share of distributions until a 5% IRR is achieved on a deemed equity amount negotiated to better align management and EnCap. Thereafter, distributions are allocated on a graduated basis after certain ROI and IRR targets are met. EnCap holds a majority position on the Board of Managers.

Post-Investment Activity

Following inception in May 2014, Paloma IV performed technical and land studies in several areas and evaluated multiple opportunities. Through this analysis, Paloma IV built a large contiguous position in the Tuscaloosa Marine Shale primarily in Tangipahoa and St. Helena Parishes, LA. In Q4 2015, Paloma IV entered into a JV agreement encompassing the entirety of its TMS assets with Australis Oil & Gas (ASX:ATS). Per the terms of the agreement, Paloma IV conveyed a 50% interest in its properties in exchange for \$16 million of cash and committed to spending \$10 million of this consideration to maintain and increase the scale of this asset alongside its partner. During Q4 2017, Paloma sold its remaining 50% interest in the TMS to Australis for \$3.1 million to exit the TMS and fully focus on the STACK.

In Q1 2016, Paloma IV initiated a greenfield leasing and land acquisition program in the core of the STACK, targeting Blaine, Kingfisher and Canadian Counties, OK. In early 2017, the company initiated its operated development program. At year-end 2018, the company had amassed ~33,500 net acres after a series of acquisitions, divestitures, trades, and greenfield leasing with an average net cost basis of ~\$7,800/acre.

In Q1 2019, Travis Peak Resources, LLC ("Travis Peak"), a Fund IX portfolio company, contributed its Merge upstream assets to Paloma IV for a negotiated \$173.0 million asset value. Accordingly, Paloma IV assumed Travis Peak's existing debt and issued \$106.7 million of Paloma IV equity to Fund IX. Travis Peak's contributed assets included ~45,000 net acres primarily in Canadian and Grady Counties, OK. EnCap viewed this consolidation as a step to high-grade management of the assets and operations, while increasing scale and reducing G&A. Additional information on Travis Peak and its history is provided under Excalibur Resources, LLC ("Excalibur"; a Fund IX portfolio company).

In Q4 2019, Excalibur contributed its STACK upstream assets to Paloma IV. As part of the negotiated transaction, Paloma IV assumed Excalibur's balance sheet, which resulted in no equity ownership adjustment for Paloma IV's members. Excalibur's contributed assets included ~40,000 net acres in Caddo, Custer, and Dewey Counties, OK with ~15 MMcf/d (95% gas and NGLs). Similar to the consolidation of Travis Peak's upstream assets, this combination high-grades management of the assets and operations under Paloma, while also reducing the overall G&A burden. Of note, the Excalibur entity holds a 17.5% equity

**EnCap Energy Capital Fund IX***Portfolio Companies*

interest in Excalibur's JV with Tall Oak Midstream II and the remaining assets of Travis Peak not acquired by Paloma IV (10% equity interest in Iron Horse, 4.7 million shares of Southwestern stock, and a portfolio of ORRIs covering Travis Peak's legacy Tioga and Potter Counties, PA asset).

Recent Events

Currently, Paloma IV holds ~59,000 net acres in the STACK and Merge plays with ~29 MBoe/d of net production. Well economics across the greater STACK and Merge plays were challenged until recently due to a combination of parent/child spacing issues and commodity prices (particularly on gas and NGLs given the higher GOR nature of the play). Optimal spacing (significantly wider than initially tested) coupled with stronger commodity prices, has driven compelling drilling economics across Paloma's acreage position. Paloma IV is temporarily running three rigs and one completion crew but plans to moderate activity to one rig in Q1 2023.

The company has successfully reduced debt below 1.0x leverage and has made \$100 million in gross distributions from cash flow. Additionally, management has added meaningful economic inventory through trades, swaps, farmouts, and organic leasing. We continue to realize significant value generation through the drill bit and expect to continue distributions from cash flow in 2023.

Valuation (\$000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
May-14	\$470,619	\$90,075	\$577,481	\$667,556	1.42x	N/A



Piedra Energy III, LLC

Company Description

Piedra III is a privately held, Midland-based oil and gas company managed by Chip Smith and Robert Beecherl that is focused in the Permian Basin. The team initially partnered with EnCap Fund VII in Piedra I and II. In Piedra I, the company sold Wolfberry assets to Berry Petroleum for \$123 million, providing Fund VII with a 2.4x ROI and 47% IRR on \$45 million invested. In Piedra II, the company sold 7,668 acres primarily in Martin County, Texas to Athlon for ~\$170 million net to Piedra II. After accounting for debt repayment and other holdbacks, the company distributed ~\$106 million net to Fund VII. Piedra II also sold 739 net acres in Reeves and Pecos Counties, Texas to Diamondback for ~\$31.5 million in gross proceeds, or ~\$20.8 million net to Fund VII. This acreage was a tag-along sale to Diamondback's acquisition of Brigham Resources, which closed in February 2017. Overall, Fund VII realized a 3.2x ROI and 48% IRR. Prior to Piedra, Mr. Smith spent 18 years focused on property acquisitions and exploration and was formerly the founder/co-founder of Charter Royalty Company, Parsley & Smith and Vecta Technology. Mr. Beecherl spent 19 years focused on acquisitions and divestments at Vecta Technology, Sugarberry Oil & Gas and Verdad Oil and Gas. Management is employing a dual-track strategy of 1) pursuing exploration and development of lower risk resource plays with scalability and upside potential similar to its strategy in Piedra I and II, and 2) acquiring mineral interests in the Midland and Delaware basins.

Transaction Summary

In May 2014, Fund IX committed \$188 million and management committed \$12 million, providing a total equity commitment of \$200 million to the company. In Q1 2017, the total equity commitment was expanded by \$100 million (100% Fund IX) to \$300 million. In Q4 2017, the total equity commitment was expanded by \$40 million (100% Fund IX) to \$340 million. The investment is structured in the form of common equity with Fund IX receiving its pro-rata percentage of distributed cash until an 8% IRR and 1.0x ROI is achieved, and thereafter distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post-Investment Activity

Piedra III initially established a ~3,000 net acre foothold in Andrews County through two primary acquisitions. In Q3 2014, the company acquired ~1,000 net acres (largely HBP with ~\$20 million of PDP PV10) in eastern Andrews County that is offset by recently completed horizontal Wolfcamp and Spraberry wells drilled by Pioneer and Diamondback for ~\$25 million. At closing, management hedged ~75% of its projected PDP volumes for two years at an average price of \$83.00/bbl. In Q4 2014, Piedra III drilled one vertical Wolfberry well to satisfy a lease obligation on the acreage. In Q1 2015, the company acquired an additional ~2,000 net acres (~\$5 million PDP PV10 and ~\$2 million SWD system) offset its previously acquired acreage for \$12 million.

To date, Piedra III has acquired ~13,500 net acres in Andrews County, Texas. The majority of Piedra III's Andrews County position is HBP and prospective for multiple benches including the Lower Spraberry, Middle Spraberry, and Wolfcamp B.

In Q3 2017, the company drilled two vertical science wells (one on the northern side of the position and one on the southern side of the position) and cored the entire Spraberry interval as well as other secondary intervals. Analysis of the core data confirmed the prospectivity of the Middle and Lower Spraberry, with potential upside in the Wolfcamp B. As such, in Q4 2017, the company re-entered the vertical wellbore of the southern science well and began drilling a 10,000' horizontal Lower Spraberry well. This well was completed in Q2 2018.

Since May 2014, the company has captured ~18,700 net royalty acres ("NRA") (normalized to 1/8th royalty rate) primarily in the core of the Midland and Delaware basins that are being actively developed by industry operators. Due to the nature of mineral interests, there are no additional capital requirements or operating



expenses associated with the assets after their initial purchases. Furthermore, there is no risk of the interests expiring, as is the case with traditional leasehold acquisitions. In addition to their core Midland and Delaware Basin positions, the company also has smaller mineral interests in the Eagle Ford and Bakken. In Q2 2019, the company sold ~2,200 scattered, non-producing NRAs in the Southern Midland Basin to Riverbend and subsequently distributed ~\$32 million back to Fund IX consisting of sale proceeds and royalty revenue.

In Q3 2018, Piedra commenced flowback on its first two operated horizontal wells, one Lower Spraberry and one Middle Spraberry (10,000' laterals). In Q4 2018, the company completed and turned to sales its third well, a 10,000' horizontal Lower Spraberry well on the northern portion of its acreage.

Recent Events

Consistent with its strategy of acquiring mineral interests in core areas, Piedra III has accumulated ~16,500 NRAs primarily focused in the Permian Basin. The company has ~3,400 NRAs in the Delaware Basin, ~12,200 NRAs in the core of the Midland Basin and smaller positions in the Eagle Ford and Bakken. All of the acreage continues to be developed by proven operators such as ConocoPhillips, Pioneer, XTO Energy, and EOG, seeing significant organic cash flow growth. Current monthly royalty income is ~\$4.0-\$5.0 million, and given the current market conditions, we expect cash flow to grow modestly throughout 2023.

Piedra III also holds ~12,750 net leasehold acres in Andrews County where it is currently running an active development program. During the fourth quarter, the company brought the remaining six wells on the University 8-9 unit online. Additionally, the company finished completing the 6-well University 8-4S unit. The company plans to continue its active development program, with a renewed focus on delineating upside zones.

Valuation (\$000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Jun-14	\$302,000	\$166,392	\$756,165	\$922,557	3.05x	N/A



EnCap Minerals, LLC

Company Description

EnCap Minerals, LLC (“EnCap Minerals”) was formed in June 2021 with the consolidation of core Permian mineral assets from multiple EnCap portfolio companies held in Fund IX (OGX III), Fund X (Fortis I, Fortis II, Fortis III, OGX IV), and Fund XI (OGX V, Pegasus I). Each entity received equity ownership in the new EnCap Minerals platform in exchange for the assets contributed, resulting in Fund IX, Fund X, and Fund XI owning 9.8%, 52.5%, and 36.6% of EnCap Minerals, respectively. The balance of the ownership, 1.1%, rests with the current management investors in Pegasus I. EnCap Minerals holds a premier portfolio of 125,000 core net royalty acres in the Permian Basin (60% Delaware Basin and 40% Midland Basin) with diversified and highly undeveloped assets positioned for future organic growth with no capital requirements.

EnCap Minerals is managed by the Pegasus team pursuant to a Management Services Agreement. Overhead is allocated to EnCap Minerals and Pegasus II using a methodical approach that is reviewed and approved by EnCap. As part of the consolidation, EnCap formally separated ties with the Fortis and OGX/Santa Elena teams, but several management members were retained to bolster the go-forward management team. Overall, we believe the consolidation of assets under EnCap Minerals will meaningfully reduce overhead, enhance distributions, and provide scale that will create differentiated opportunities for value creation and an ultimate monetization. EnCap Minerals will closely monitor the markets for a potential IPO, outright sale, or additional consolidation opportunities with other large private mineral interests using equity consideration.

Transaction Summary

In June 2021, EnCap Minerals was formed with the consolidation of core Permian interests. The existing remaining commitments of the Fund IX (OGX III) and Fund X (Fortis I, Fortis II, Fortis III, OGX IV) entities involved in the consolidation were carried over to EnCap Minerals to provide for additional future flexibility should a considerable deal arise requiring a cash component (subject to Advisory Board approval given the Funds involved).

The management interests of Fortis III, OGX III, OGX IV, and OGX V were fully repurchased prior to the consummation of EnCap Minerals, and the EnCap Funds hold the common equity interests directly related to these investments. The original management incentive structures remain for Fortis I, Fortis II, and Pegasus I, which are subject to an 8% IRR on original invested capital. Thereafter distributions are allocated on a graduated basis as certain ROI targets are met. EnCap holds a majority position on the Board of Managers for EnCap Minerals.

Recent Events

The EnCap Minerals portfolio has realized significant organic growth through ongoing and increased industry activity across its position in the Permian Basin. Approximately half of all Permian rigs have been running on EnCap Minerals’ position over the past few quarters. As such, we anticipate continued production growth in 2023 based on current activity levels.

In 4Q 2022, EnCap Minerals made \$121 million in distributions (~\$44 million to Fund XI, ~\$63 million to Fund X, and ~\$12 million to Fund IX). For FY 2022, EnCap Minerals generated approximately \$500 million in cash flow. The company will continue to make monthly distributions on an ongoing basis.

Valuation (\$000’s)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Jan-15	\$207,059	\$133,962	\$316,426	\$450,388	2.18x	N/A



Common Resources III, LLC

Fully Realized

Company Description

Common Resources III, LLC, is a Woodlands, Texas-based, start-up oil and gas company focused on creating value opportunistically through the drill-bit. EnCap first partnered with the Common management team in Common I, a Fund VI and Fund VII portfolio company that sold in May 2010 for \$805 million, providing the EnCap funds with a 3.0x ROI and 119% IRR. Common I successfully built core acreage positions in the Haynesville and Eagle Ford Shales, drilling wells in each of these areas to establish their resource potential. Common II, a Fund VII and Fund VIII portfolio company, was formed shortly thereafter and sold in July and August 2012 for proceeds of \$178.7 million and \$24.7 million of related holdbacks, providing the EnCap funds with a 1.6x ROI and 50% IRR. The Common III management team consists of the same core group of individuals that were instrumental in the value creation process in Common I and II and will be led by Tom Jones (CEO) and Roger Jarvis (Chairman). Mr. Jones has over 25-years of industry experience in various senior engineering and operations roles with Chevron, Torch Energy and others. Mr. Jarvis previously served as President and CEO of Spinnaker Exploration from its inception in 1996 through its eventual sale to Norsk Hydro for \$2.6 billion in December 2005. Additional management members consist of the core technical and operating team from Common I and II.

Transaction Summary

EnCap Fund VIII and Pine Brook Road Partners (who partnered with EnCap in Common I and II) each committed \$200 million to Common III for a total Investor Group commitment of \$400 million. Management committed \$13 million providing the company with a \$413 million equity commitment. In January 2013, 50% of Fund VIII's commitment (\$100.0 million) was transferred to Fund IX. The investment is structured in the form of common equity with the investor group receiving 96.9% of distributed cash until an 8% IRR and thereafter distributions will be allocated on a graduated basis until certain IRR and ROI targets are met. The board of directors is jointly controlled by EnCap and Pine Brook with each having two representatives of a seven-member board. EnCap's approval is required for all material board decisions.

Post-Investment Activity

Common III built positions in three areas of the Permian Basin. In the Texas Panhandle, the company accumulated ~31,500 net acres in Potter and Carson Counties targeting the Canyon Lime. Common's first operated well was non-commercial and no additional activity is currently planned. In the Circuit Rider prospect, the company accumulated ~20,100 net acres in Gaines and Terry Counties, TX, targeting the Woodford Silt. Common has drilled two non-commercial wells and has no further development planned. The company's third project is the Glock Prospect, where Common has acquired ~24,300 net acres on the western edge of the Delaware Basin in Reeves County, TX. In Q4 2015, Common III entered into an agreement to acquire ~1,100 net acres in Martin County targeting primarily the Wolfcamp A and Lower Spraberry.

As part of managing our portfolio with an emphasis on overhead and capital efficiency, we removed the Common III management team in 2016 and subsequently contracted a third party to manage the assets. In Q2 2017, the company sold the vast majority of its remaining assets through multiple transactions.

Valuation (\$000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jan-13	\$60,411	\$11,705	\$0	\$11,705	0.19x	(42.0)%



Paloma Partners III, LLC

Fully Realized

Company Description

Paloma Partners III, LLC, is a privately-held Houston-based independent oil and gas company led by Chris O'Sullivan, John Hastings, Mark Gabrisch and Bobby Poirrier. EnCap has a significant track record of value creation with Mr. O'Sullivan from its Fund III investment in San Juan Partners in 1998 (67.2% IRR, 1.8x ROI), its Fund VI investment in Paloma Barnett in 2007 (198% IRR, 2.1x ROI), and its Fund VII investment in Paloma II (78% IRR, 3.3x ROI). Paloma III focused on a leasing and development strategy targeting the Utica Shale. Similar to their strategy in Paloma II, Management used greenfield leasing and acquisitions to build a meaningful footprint in Utica, then "traded" acreage to consolidate its land position into large drillable blocks with a high working interest.

Transaction Summary

In September 2012, Fund VIII committed \$250 million and minority investors committed \$60 million to Paloma III. Management committed \$10 million, providing a total equity commitment of \$320 million to the company. In January 2013, 50% of Fund VIII's commitment (\$125.0 million) was transferred to Fund IX. The investment is structured in the form of common equity with Fund VIII, Fund IX and co-investors receiving 96.8% of distributed cash until a 9% IRR is achieved, and thereafter distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap held a majority position on the Board of Managers.

Post-Investment Activity

Based on an extensive land and economic analysis, Paloma III began building an acreage position in 2013 targeting the Utica Shale in Ohio. The company accumulated approximately 23,700 net acres primarily in Belmont and Jefferson Counties, OH, offsetting several active operators. Paloma III initiated discussions with nearby acreage holders to execute trades/swaps to block-up its acreage position and create a more consolidated package.

During the course of discussions with offset operators regarding acreage trades, Gulfport Energy made an offer to acquire Paloma III. The parties executed an agreement for cash consideration of approximately \$300 million with a \$75 million deposit funded at signing. Simultaneous with the announcement of the transaction, Gulfport initiated a secondary equity offering as well as a senior notes placement, the proceeds of which were used, in part, to fund the acquisition. The acquisition closed on August 31st and \$272.5 million was distributed to all investors (\$99.4 million net to Fund VIII and \$99.4 million net to Fund IX). An indemnity escrow holdback of 10% (\$8.0 million net to Fund VIII and \$8.0 million net to Fund IX) of the unadjusted purchase price was withheld but ultimately distributed in September 2016 yielding a total ROI of 2.1x net to Funds VIII and IX (\$51 million invested from each) and a 46% IRR.

Valuation (\$000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jan-13	\$51,203	\$107,596	\$0	\$107,596	2.10x	46.2%



Payrock Energy, LLC

Substantially Realized

Company Description

Payrock Energy, LLC, is a privately held Oklahoma City based independent oil and gas company focused on the Mississippi Lime play in Kansas and Oklahoma. Payrock is led by Rick Kirby (CEO), Steve Henley (VP Operations), Chad Ford (VP Land), John Zimmerman (VP Finance), and Tim Fahler (VP Reservoir Engineering). The team is well-seasoned with over 108 years of combined experience in multiple disciplines throughout the oil and gas industry. Most recently, the team worked together at SandRidge and was involved in the company's initial entry into the Mississippi play where they were responsible for drilling over 250 wells in the area. Payrock plans to leverage management's regional expertise and relationships to execute a strategic entry into the most economically compelling areas of the Mississippian play for horizontal development. The company intends to build a consolidated land position through greenfield leasing and utilize the drill-bit strategy and nearby industry activity to demonstrate the economics of the play.

Transaction Summary

In November 2012, Fund VIII committed \$247.5 million and management committed \$2.5 million, providing a total equity commitment of \$250 million to the company. In January 2013, 50% of Fund VIII's commitment (\$123.75 million) was transferred to Fund IX. The investment is structured in the form of common equity with Fund VIII and Fund IX receiving 99% of distributed cash until an 8% IRR is achieved, and thereafter distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post-Investment Activity

Payrock amassed ~61,000 net acres as an early mover in the core of the STACK play for an average cost basis of approximately \$1,330 per acre. The acreage, primarily in Kingfisher and Canadian Counties, Oklahoma, offsets major operators such as Newfield, Devon, and Cimarex, among others, and is prospective for the Meramec and Woodford shale formations, with potential upside in the Osage.

On August 1, 2016, Payrock closed on the sale of its ~61,000 net acres and ~9,000 Boe/d (50% oil; 75% liquids) of production to Marathon Oil Corporation (NYSE: MRO) for \$887.5 million in an all-cash transaction. After accounting for debt and other miscellaneous purchase price adjustments, Payrock ultimately received \$790.1 million in cash proceeds, equating to a 4.5x ROI and 85% IRR net to Funds VIII and IX.

Recent Events

During Q3 2022, EnCap entered into an agreement with 89 Energy to sell its consolidated STACK assets (including Rumble Minerals, LLC) for ~\$230 million of total consideration. Payrock's remaining assets in Rumble Minerals represented ~5% of the total consolidated assets sold to 89 Energy. At closing in October 2022, Payrock distributed ~\$3.1 million to Fund IX. In addition to the proceeds received at closing, Payrock has the opportunity to receive ~\$500k of proceeds from holdbacks (~\$250k net to Fund IX).

Valuation (\$000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jan-13	\$66,832	\$308,630	\$228	\$308,858	4.62x	86.0%



Modern Resources Inc.

Fully Realized

Company Description

Modern Resources Inc. was a privately-held Calgary, Canada based oil and gas company that will pursue proved reserve acquisitions with resource upside in the Western Canadian Sedimentary Basin. Modern was led by Dan O'Byrne, prior to joining Modern Resources, Dan was the CEO of Primavera Resources, a private Canadian oil and gas Company and is well regarded in the E&P industry in Calgary. Mr Q'Byrne is joined by Francois Legault (VP-Geosciences), Derek Mendham (CFO), Jason Chadwick (VP-Land) and Geoff Keyser (VP-Engineering). Modern's Acquire and Exploit strategy focused on the traditional producing fairway of the Western Canadian Sedimentary Basin. They looked for assets with a strong production component and with meaningful resource-type upside behind pipe in plays such as the Montney, Duvernay and Cardium.

Transaction Summary

Modern was formed in March 2013 with a C\$303 million equity commitment, consisting of C\$100 million from EnCap Fund IX (\$105 million USD commitment approved), C\$100 million from ARC Financial Corporation, C\$100 million from ARC-related investors (cumulatively referred to as the "Investor Group") and C\$3 million from management. The transaction was sourced by ARC and represents the largest commitment ARC has made to a start-up team. The investment is structured in the form of common equity in a Canadian corporation with the Investor Group initially receiving 99.0% of the available dividends. Performance and incentive warrants were issued to management and employees to purchase up to 17.5% of the company as ROI hurdles are met. Governance is shared between EnCap and ARC, where the consent of both parties is necessary and sufficient for an action of the Board.

In August of 2014, Modern's equity commitment was expanded. This expansion was a C\$50 million increase in EnCap's equity commitment, bringing EnCap's total commitment to C\$150 million. In conjunction with EnCap's increased equity commitment, ARC Financial Corporation increased its commitment by C\$15 million, ARC-related investors increased their aggregate commitment by C\$12.8 million and management increased its commitment by C\$1.2 million, representing a total equity capitalization of C\$381.6 million.

In January of 2016, Modern's equity commitment was expanded further. This expansion was a C\$20.6 million increase in EnCap's equity commitment, bringing EnCap's total commitment to C\$170.6 million. In conjunction with EnCap's increased equity commitment, ARC Financial Corporation increased its commitment by C\$15.1 million, ARC-related investors increased their aggregate commitment by C\$13.6 million and management increased its commitment by C\$0.8 million, representing a total equity capitalization of C\$432.0 million.

Post-Investment Activity

Modern acquired ~265,000 net acres through a combination of Crown leasing and acquisitions in its Kakwa and Greater Wapiti focus areas in the Western Canadian Sedimentary Basin. The company built a production base that had a productive capacity of ~20,000 boe/d and produced ~9,000 boepd (72% gas, 28% liquids). Modern's initial focus area was where Tourmaline and Encana drilled a series of outlier wells in the Spirit River formation (one two-well pad came on at 57 MMcfpd and multiple 20+ MMcfpd wells). The company undertook a drilling program focused largely on resource validation and completed ~22 horizontal Wilrich/Falher wells and ~45 Cardium horizontals. In Q2 2020, former CEO and President Chris Slubicki stepped down and was replaced by Dan O'Byrne, who previously served as CEO and President of Primavera Resources, a former ARC portfolio company. In October 2020, the company signed a Share Purchase Agreement (SPA) to sell the business to Tourmaline Oil Corporation (TOU:TO) for \$CAD 73.75MM cash, 1.5MM TOU shares and the assumption of up to \$CAD 44MM of Net Debt. The transaction closed in November 2020 and Fund IX received \$USD 14.4MM in cash and 592,351 shares of

EnCap Energy Capital Fund IX
Portfolio Companies

Tourmaline stock. In December 2020, EnCap sold all of the 592,351 shares in the open market and distributed those proceeds to LPs.

Valuation (\$000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Mar-13	\$128,896	\$30,502	\$0	\$30,502	0.24x	(23.2)%



Felix Energy, LLC

Substantially Realized

Company Description

Felix Energy, LLC, is a privately-held, Denver-based independent oil and gas company focused on the identification, acquisition and exploration of liquids-rich resource plays in various U.S. basins. Felix is led by Skye Callantine (CEO), Zach Holland (VP-Engineering), Bill Arnold (VP-Operations), Michael Horton (VP-Land) and King Grant (CFO). Mr. Callantine was formerly an executive with Chesapeake Energy and was primarily responsible for evaluating, capturing and developing Chesapeake's Eagle Ford, Woodbine and Haynesville Shale positions. While at Chesapeake, Mr. Callantine built and developed Chesapeake's Eagle Ford Shale position from a legacy lease position to over 700,000 net acres and 800 producing horizontal wells. Overall, the management team has an impressive track record of creating value and shares a similar mindset with EnCap regarding risk management, capital allocation and opportunity capture.

Transaction Summary

In April 2013, Fund IX committed \$392.8 million, family and friends of management committed \$5.7 million and the management team committed \$2.1 million, providing a total initial equity commitment of \$400.0 million to the company. In March 2015, the commitment was expanded pro-rata to \$500.0 million (\$490.3 million net to Fund IX). The investment is structured in the form of common equity with the Investor Group receiving 99.5% of distributed cash until an 8% IRR and 1.0x ROI is achieved, and thereafter distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post-Investment Activity

Since closing its equity commitment in April 2013, Felix evaluated multiple opportunities in different basins, eventually securing two liquids-rich positions in the Anadarko Basin of Oklahoma: (i) the STACK project in Kingfisher, Canadian and Blaine Counties, OK, targeting the Meramec and Woodford Shales and (ii) a farm-out in Dewey and Custer Counties, OK, from a large U.S. Independent targeting the conventional Cottage Grove formation, which was later divested with the proceeds being used for development in the STACK play.

Felix amassed nearly 80,000 net acres in the STACK through a combination of strategies including ground-floor leasing, farm-in opportunities and acquisitions. The company formed a joint venture with Tall Oak Midstream, owned 60% by Tall Oak and 40% by Felix, to gather and process oil and gas from an Area of Mutual Interest ("AMI") covering approximately 2.3 million acres in the central Oklahoma Anadarko Basin, including the STACK. The joint venture provided the midstream infrastructure for all of Felix's wells within the STACK.

Additionally, during Q2 2015 Felix partnered with Phillips Energy Partners, an EnCap-backed mineral and royalty interest acquisition company, to acquire minerals through a 50/50 joint venture targeting the STACK. To date, the company has amassed 5,568 net mineral acres net to Felix within the core of the STACK. We feel as if the minerals acquired to date represent meaningful future value for Felix.

On January 7, 2016, Felix closed its sale of 100% of the company's upstream assets to Devon ("DEVN") for total consideration of \$1.9 billion. The purchase price consists of \$850.0 million in cash and 23.47 million shares of DEVN common stock. At closing, and after accounting for debt and other miscellaneous purchase price adjustments, Felix received \$447.7 million of cash from DEVN and 23.47 million shares of DEVN common stock. An additional \$237.5 million of cash proceeds due to Felix were placed in an escrow account for potential title and indemnity related matters and will be distributed over three separate periods: (i) \$95.0 million of title holdback will be released 30 days post-closing assuming all potential title disputes have been resolved, (ii) \$47.5 million of indemnity escrow will be released nine months after closing and (iii) the remaining \$95.0 million of indemnity escrow will be released 12 months after closing.



In addition to the above mentioned sale to DVN, Felix received meaningful consideration for its minority ownership in TOM-STACK, a subsidiary of Tall Oak. EnLink, a publicly traded MLP that is comprised primarily of DVN's legacy midstream assets, announced the acquisition of Tall Oak for \$1.55 billion in cash and ENLC common units, the publicly traded General Partner of ENLK. The purchase price equated to \$1.3 billion in cash and 17.05 million shares of ENLC stock. Net to its 40% ownership interest in TOM-STACK, Felix received \$246.1 million in cash and 5.56 million shares of ENLC common units at closing.

Total cash and stock consideration net to Felix's interest for the sale of both its upstream assets and midstream ownership totaled over \$2.4 billion. Fund IX received ~\$1.26 billion in cash distributions, representing a realized 3.3x ROI on its \$381.9 million of invested equity.

Felix still maintains its ownership in Sooner Trend Minerals, LLC, an entity formed to acquire ORRIs and minerals in the STACK play. Felix carved off a ~4% ORRI across the majority of its leasehold position that was sold to Devon and accumulated a sizable portfolio of net mineral acres to-date. During Q4 2016, Felix sold a small portion of its minerals portfolio (~20% of its entire position) to an undisclosed purchaser for ~\$90 million of cash proceeds. The sale represented a 7.5x realized ROI based on the cost basis of the minerals and ORRIs sold in the transaction. Post this asset sale, Felix still holds an extensive portfolio of minerals and ORRIs in the core of the STACK play, and we believe these non-cost bearing minerals and ORRIs represent meaningful future value for Felix.

Valuation (\$000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Apr-13	\$381,879	\$1,954,109	\$17,326	\$1,971,435	5.16x	99.7%



QStar, LLC

Fully Realized

Company Description

QStar is a privately-held, Houston-based independent oil and gas company focused on the identification, acquisition, and exploration of liquids-rich plays in various onshore US basins. QStar is led by Gerald Carman (CEO), David Newman (COO), Charles Close (CFO), Mark Przywara (VP – Geosciences), and John Lodge (VP – Land). Management has an impressive track record of creating value both individually and collectively, most recently with TriTech Energy Capital, which generated a 3.1x ROI and 71% IRR on \$22 million of invested capital. QStar's strategy involves employing a data-driven approach, and the company will rely extensively on subsurface data and historical production and well data to identify areas that have yet to be exploited with modern completion techniques. QStar plans to be opportunistic in its approach and will either employ a lease & drill or acquire & exploit strategy, depending on the opportunity set and the associated economics. Management will initially focus its efforts across multiple basins in Texas, where it has a great deal of experience and a strong network of relationships.

Transaction Summary

In May 2013, Fund IX committed \$147.0 million and management committed \$3.0 million, providing a total equity commitment of \$150.0 million to the company. In May 2016, Fund IX expanded its commitment to QStar by \$400.0 million to \$544.0 million. \$150 million of this expansion was in the form of a bridge loan, which was repaid in Q3 2016, providing Fund IX with an ultimate commitment of \$394.0 million to QStar. The investment is structured in the form of common equity with Fund IX receiving ~99% of distributed cash until an 8% IRR is achieved. Distributions thereafter will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post-Investment Activity

In 2H 2014, QStar entered into a joint venture and acquired a 25% non-operated working interest in ~19,000 net acres (~4,800 net acres to QStar) in East Texas (Smith, Henderson, Anderson, and Cherokee Counties) prospective for the Goodland Lime (equivalent to the Edwards oil play in South Texas). The company also built a 2,000 net acre operated position, but additional leasing was halted due to commodity prices. Offset operators in the area include EOG, Carrizo, Clayton Williams, and several other independents. QStar exposed minimal capital to this project and shifted its focus to the Midland Basin.

In Q1 2015, the company agreed to acquire 2,150 net acres in Martin and Howard Counties, Texas from Resolute Energy for \$42 million. This asset is underpinned by ~\$20 million of PDP value at the then-current strip and is 100% HBP. Management believes this position is prospective for the Wolfcamp A, Wolfcamp B, and Spraberry benches. This area is being actively delineated by multiple offset operators including Encana, CrownQuest, Occidental, Energen, and several other independents. Subsequent to the Resolute acquisition closing in May 2015, QStar acquired six additional, small acreage positions in and near the Resolute acreage, resulting in QStar holding ~3,300 net acres at an attractive cost basis (100% HBP and operated).

In Q4 2015, QStar acquired ~10,000 net acres in central/northern Howard County from a large independent at an attractive entry price. This acreage is an eastern extension of the play with less production results but is believed to be highly prospective based on management's technical understanding of the area.

In May 2016, QStar closed on an acquisition of ~17,500 net acres from Endeavor Energy Resources in Howard and Martin counties for ~\$360 million, equating to ~\$17,700 per net undeveloped acre after backing out PDP PV10 of \$56 million. The acquired position is mostly HBP and in the well-delineated core of the northern Midland Basin near QStar's existing core acreage. Shortly after closing, management successfully brought in a partner at a promoted valuation and sold down 25% of its assets (bringing QStar's overall cost basis to <\$10,000/acre). This deal represented a transformative transaction for the company and bolstered QStar's acreage position to ~26,000 net acres (pro forma for sell down).

Quarterly Review

As of December 31, 2022

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ENCAP INVESTMENTS L.P.

EnCap Energy Capital Fund IX

Portfolio Companies

On October 17, 2016, QStar and its 25% working interest partner signed PSAs with SM Energy (NYSE: SM) to sell all of their interests in 35,691 net acres in Howard and Martin counties for total consideration of \$1.6 billion (8/8ths), or \$1.2 billion net to QStar. The total consideration consisted of \$1.1 billion in cash and \$500 million in the form of SM's stock. After backing out the allocated 8/8ths PDP value of \$51 million, SM paid a blended ~\$43,400 per undeveloped acre. Overall, this transaction, which closed on December 21, 2016, allowed QStar to immediately distribute ~\$624 million of cash to Fund IX, representing a cash ROI of ~1.8x. With the holdback releases, Fund IX generated a ~2.1x cash ROI and retained additional upside through the 8.2 million shares of SM Energy stock.

In September and October 2018, Fund IX sold ~2.2 million SM shares (~27% of its original position) through public market sales, which generated ~\$74 million in net proceeds. In Q2 2020, Fund IX sold ~385k SM shares for ~\$2 million in net proceeds, and in Q3 2020, Fund IX sold ~800k SM shares for ~\$3 million in net proceeds. In Q4 2020, Fund IX sold ~3.8 million SM shares for ~\$16.5 million in net proceeds. In Q2 2021, Fund IX exited the balance of its position for ~\$6 million in net proceeds.

Valuation (\$000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jun-13	\$338,488	\$826,661	\$0	\$826,661	2.44x	101.7%



Silverback Exploration, LLC

Fully Realized

Company Description

Silverback Exploration is a privately-held, San Antonio-based independent oil and gas company formed to pursue both unconventional and conventional projects through a combination of (i) producing and non-producing property acquisitions, (ii) grass-roots leasing efforts and (iii) farm-ins or joint ventures with operators whose large leasehold positions exceed their ability to timely develop and maintain their acreage. Silverback was formed by a group of talented industry veterans with 200 years of collective experience across all of the major upstream oil and gas disciplines. The Silverback management team consists of George Young Jr. (CEO), Steve Lipari (COO), Chris Williford (CFO), David Frye (VP-Land/Bus. Dev.) and Jon Conaway (VP-Exploration). Each member has substantial experience and contacts in the industry from past roles at companies such as Collins & Young, EOG Resources, Newfield Exploration, Abraxas Petroleum and Vitruvian Exploration. Additionally, Ted Collins, a long-time partner with Mr. Young and well-known independent oil and gas producer, will act as a non-executive board member.

For Young and Collins, Silverback will be a continuation of their highly successful partnership that dates back to 2001, when the two formed Collins & Young and invested in the Barnett Shale to acquire ~100,000 net acres and participate with Chief Oil & Gas in ~100 gross horizontal wells. Collins & Young ultimately turned \$21.5MM of invested capital in the Barnett into \$170MM of cash proceeds. Lipari and Frye were founding members of EOG's Barnett division that built a 900,000-acre position in the basin, operated a 26 rig drilling program and managed a \$725MM annual capital budget. Subsequent to building EOG's Barnett position, Frye joined EOG's management team in the Eagle Ford that grew production from zero to 100Mboe/d in two years, managed a \$200MM lease acquisition budget, and supported a 24 rig drilling program.

Transaction Summary

In November 2013, Fund IX committed \$336 million and management committed \$14 million, providing a total equity commitment of \$350 million to the company. The investment is structured in the form of common equity with Fund IX receiving 96% of distributed cash until an 8% IRR and 1.25x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post-Investment Activity

Beginning in Q4 2014, Silverback began leasing efforts in a targeted area of the Delaware basin prospective for the Wolfcamp. Silverback initially leased ~8,000 net acres through organic leasing efforts. In 2H 2014, Silverback began evaluation of a Delaware basin acquisition opportunity that fell within its target area. Silverback began negotiating with the seller as commodity prices began to fall in Q4 2014 and eventually reached a deal to acquire ~44,000 net acres and ~2,600 boepd of production from the seller for a drastically reduced purchase price.

In conjunction with the upstream transaction, the seller of the asset sold the associated midstream assets to EagleClaw Midstream, an EnCap Flatrock Midstream portfolio company, which had existing assets in the area. EagleClaw and Silverback created a midstream JV ("EagleClaw JV") covering an area of mutual interest surrounding EagleClaw's existing assets and the midstream acquisition. Silverback maintained 20% equity interest in the EagleClaw JV.

On December 28, 2016, Silverback I closed on the sale of its upstream assets in Reeves County, Texas to Centennial Resource Development. Fund IX received \$681 million from the upstream sale, generating a 3.3x ROI on Fund IX's \$208 million of upstream equity invested.

On June 22, 2017, the sale of EagleClaw JV to funds managed by Blackstone Energy Partners and Blackstone Capital Partners closed for approximately \$2.0 billion in cash. Fund IX received \$234 million

EnCap Energy Capital Fund IX

Portfolio Companies

from the midstream sale, generating a 2.8x ROI on Fund IX's \$84 million of midstream equity invested. The sale of EagleClaw JV, along with the sale of Silverback I's upstream assets, brought Fund IX's ultimate ROI to 3.1x on \$292 million of total equity invested.

Valuation (\$000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Nov-13	\$292,224	\$915,894	\$0	\$915,894	3.13x	99.9%



Sabalo Energy, LLC

Substantially Realized

Company Description

Sabalo is a privately-held, Corpus Christi-based independent oil and gas company led by Barry Clark, President and CEO, and other senior managers of Manti Exploration, LP (an EnCap Fund VI portfolio company). Manti was restructured in Q2 2012 to remove the prior president and install Mr. Clark. Mr. Clark effectively streamlined the management team, divested of several non-core assets and focused the company's growth strategy on projects with improved risk-adjusted economics. The remaining management members consist of Tom Medary (VP-Land), Philip Bell (Land), Robert Helm (CFO), Mike Dignam (VP Finance & Business Development) and Wayne Psencik (VP-Operations).

Transaction Summary

In March 2014, Fund IX committed \$147.5 million, Avista Capital committed \$25.0 million, and management committed \$2.5 million, providing a total equity commitment of \$175 million to the company. Fund IX subsequently acquired Avista's interest in August 2016 coinciding a commitment expansion of \$118.0 million. Since then, Sabalo's equity commitment was further expanded by \$40 million, in September 2017, and by \$50 million in February 2019, providing a total equity commitment of \$365.0 million to the company. The investment is structured in the form of common equity with Fund IX receiving 98.57% of distributed cash until an 8% IRR and 1.00x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met.

Post-Investment Activity

In March 2014, Sabalo acquired 6,800 net acres in Burleson County, Texas from Dyson Energy for \$25.2 million. The acreage was located in the East Texas Eagle Ford play, where offset operators (e.g. Halcon, Comstock) were actively drilling and de-risking the play. Sabalo acquired a total of 11,033 net acres (15,029 gross) prospective for the Eagle Ford Shale in Burleson County. The company participated in five non-operated wells with Halcon and Comstock with mostly positive results. Sabalo drilled two operated horizontal Eagle Ford wells with the results of both wells meeting Sabalo's type curve. The company suspended all Eagle Ford drilling activity due to poor drilling economics primarily as a result of the drop in commodity prices.

In Q3 2015, Sabalo acquired a contiguous 3,194 net acre block within the Midland Basin in Howard County for \$55.9 million through a privately-negotiated transaction with a small independent operator. The acreage has an ~85% net revenue interest across the position, which is uniquely high for the Permian Basin, and is held by production through a deeper Fusselman waterflood. The acreage is primarily prospective for the Wolfcamp and Spraberry shales and has significant well results in both zones offsetting it to the West.

In Q3 2016, Sabalo successfully closed on an acquisition with a private seller to acquire 11,394 net acres (15,600 gross) offsetting the company's existing Howard County position with ~235 Boe/d of production (\$9.0 million PDP PV10 at strip) for \$90.0 million, which equates to ~\$7,109 per undeveloped acre. The acquisition was underwritten on one bench using defensible type curves, based on a dataset of ~60 horizontal wells drilled in the immediate area; with 7,500' WC A type curves generating 30-50% IRRs at current strip. Additionally, upside exists in the Lower Spraberry and the Wolfcamp B formations as well as the Middle Spraberry and Jo Mill horizons. In order to capture this acquisition and allow for development across the pro forma position, EnCap expanded the equity commitment. In addition to the expansion, EnCap negotiated a deal to buy-out Avista Capital at an attractive valuation.

In Q1 2017, Sabalo entered into a definitive purchase agreement with a public company to sell all of the company's East Texas Eagle Ford assets for \$8.7MM net to Sabalo. The sale closed in early Q2 2017 with proceeds from the transaction re-deployed towards the continued development of Sabalo's Howard County assets.



In Q4 2017, Sabalo entered into a drilling joint venture with Benefit Street Partners (“BSP”) in order to further delineate and HBP their Howard County asset. Through the drilling program, Sabalo drilled a total of 27 wells, which ultimately satisfied all lease obligations for the acreage. Additionally, in Q4 2017 Sabalo purchased ~1,500 net acres from Parsley for \$10.8 million, which equates to ~\$7,100 per undeveloped acre; the acreage directly offsets Sabalo’s current leasehold in Howard County and is operated by SM Energy, who has recently begun drilling wells on the acreage.

On December 21, 2018, Earthstone Energy, Inc. (NYSE: ESTE) terminated their previously announced acquisition of Sabalo due to the significant decline in commodity prices since the announcement of the transaction and the related adverse effect on the debt and equity markets. While the termination of the sale due to market dynamics is disappointing, we remain satisfied with owning a high quality asset with a substantial inventory of highly economic drilling locations and growing reserve base. In order to further support the business for drilling and acquisitions going forward, we expanded the equity commitment in Q1 2019 by \$50 million (\$49.5 million net to Fund IX).

In Q3 2019, the company monetized its water infrastructure assets for \$50 million. Proceeds from the sale were utilized to pay down revolver borrowings, fund its 2019 development program, and for bolt-on acreage.

In Q2 2021, Sabalo completed the sale of its operated and non-operated properties to Laredo Petroleum (NYSE: LPI) for \$554 million cash and 2,225,930 shares of LPI common stock. The acquired assets included ~21,000 net acres, ~11,600 Boepd (~83% oil), and a significant amount of highly economic remaining locations targeting primarily the Lower Spraberry and Wolfcamp A formations.

At closing, Fund IX received \$310 million in cash and 2,191,052 shares of LPI common stock. Post-closing, the cash on cash realized return net to Fund IX was a ~1.0x ROI. We expect a meaningful incremental return from the monetization of our LPI stock position over time and the release of the final ~\$32 million cash holdback, which will be released December 15, 2022.

Recent Events

EnCap received the final ~\$31 million holdback from the Vital (previously Laredo) transaction in January 2023 bringing the realized ROI net to Fund IX to 1.7x. Additionally, EnCap engaged TenOaks to market the ~6,850 NRA retained from the sale. These assets primarily consist of ORRI carveouts on the assets previously sold to Vital. The retained royalty interests represent meaningful incremental value for the company and has seen meaningful cash flow growth from on acreage activity. EnCap expects to receive bids during the first quarter of 2023.

Valuation (\$000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Mar-14	\$319,592	\$525,930	\$175,769	\$701,699	2.20x	14.8%

**Fuse Energy, LLC***Fully Realized***Company Description**

Fuse is a privately-held, Denver-based independent oil and gas company lead by David Wolf, President & CEO, Daryll Howard, COO, Ann Verzeletti, VP Corporate Development & Engineering, Shawn Canaday, CFO, and Steve Parks, Geologic Manager. Mr. Wolf was previously Executive VP and CFO of Berry Petroleum (NYSE: BRY) where he worked alongside Ms. Verzeletti and Mr. Canaday. Together the team was instrumental in selling the company to Linn Energy in December 2013 for \$5 billion. Mr. Howard spent 18 years in various roles at Newfield (NYSE: NFX), most recently as VP of the Rocky Mountain region where he led a business unit with a net asset valuation of \$2.5 billion. Mr. Parks has over 35 years of experience as a senior development geologist with experience in numerous basins. Fuse will employ an acquire and exploit strategy and will focus on properties with a significant PDP component, but not mature enough for most upstream MLPs. The team will seek basins with stacked pay and will drive returns through other operational enhancements. Management has a deep contact base, an excellent track record of sourcing negotiated transactions and believes that staying out of highly competitive data rooms will be a key to success.

Transaction Summary

In June 2014, Fund IX committed \$294 million and management committed \$6 million, providing a total equity commitment of \$300 million to the company. The investment is structured in the form of common equity with Fund IX receiving 98% of distributed cash until an 8% IRR is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post-Investment Activity

In September 2014, Fuse closed on the acquisition of ~64,000 net acres (47% HBP) and 67,000 Mcfepd/d of production, 55% liquids, in the Barnett Combo in Wise and Montague Counties, TX. In January 2015, Fuse released their one operated rig in light of commodity price degradation and delayed all drilling until commodity prices rebound. Fuse continues to focus on cost reductions and has no near-term drilling plans given the current commodity price environment.

In Q4 2015, Fuse finalized the restructuring of two significant midstream contracts that were assumed in the Barnett Combo acquisition. This restructuring eliminated deficiency payments over the next several years through a small upfront payment and a slight increase in gathering and transportation fees paid to the midstream provider on current and future volumes.

Fuse signed a PSA for no equity value during Q4 2018 and closed the transaction in Q1 2019.

Valuation (\$000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jun-14	\$134,791	\$0	\$0	\$0	0.00x	(79.1)%

**Sierra Oil & Gas Holdings, L.P.***Fully Realized***Company Description**

Sierra (Mexico City based) is working towards creating a leading Mexican oil and gas company by capitalizing on the comprehensive energy industry reform taking place in Mexico. Sierra is led by Ivan Sandra, who has over 20 years of international E&P experience. Mr. Sandra most recently worked as co-head of EY's global oil and gas team and previously as VP of Global Strategy at Statoil. He is joined by Read Taylor (EVP-Upstream), Rosendo Zambrano (EVP-Midstream), Edgar Jones (EVP-Commercial & Business Development), Salvador Beltran del Rio (VP-Industry Relations) and Anibal Ramirez (CFO). Read, Rosendo and Edgar most recently held senior positions at Pemex, Devon International, Petra Energia and Statoil where they were responsible for originating and developing both conventional and unconventional assets. Salvador is a well-connected former Mexican politician that has held numerous high-ranking international and domestic positions for Mexico. Anibal has been the CFO of several large companies in Mexico. Prior to the reforms, Management spent a significant amount of time compiling data and evaluating regions/fields and will target the following asset types: 1) mature onshore fields where operational efficiencies or second/tertiary recovery will enhance value; 2) conventional onshore; 3) shallow water offshore; and 4) unconventional plays. In situations where Sierra does not meet requirements for operatorship, the company will seek out world-class partners.

Transaction Summary

Sierra was formed in September 2014 with a \$527.7 million equity commitment, consisting of \$225.0 million from EnCap Fund IX, \$225.0 million from Riverstone, \$75.0 million from Blackrock (formerly Infraestructura Institucional) (cumulatively referred to as the "Investor Group") and \$2.7 million from management. The investment is structured in the form of common equity with underlying assets held in a Mexican SRL with the Investor Group initially receiving 99.57% of the available distributions. Governance is shared between EnCap and Riverstone, where the consent of both parties is necessary and sufficient for an action of the Board.

Investment was made in Sierra through Fund IX and through an "Alternative Investment Vehicle" for Fund IX-C as previously set up for the Modern investment. The overall intent is to maintain the economics between Fund IX and Fund IX-C, but to allow the investors in Fund IX-C to achieve certain tax efficiencies by causing Fund IX-C to invest in the Mexican SRL through the Alternative Investment Vehicle rather than through a Delaware (U.S.) corporation ("C Blocker").

The investment by Fund IX and the Alternative Investment Vehicle in the ultimate Mexican SRL was through a Dutch BV (wholly owned by our Dutch Coop established for Modern). During Q2 2018, Fund IX decided to hire two employees in the UK and establish a UK office to manage the activities of Fund IX's foreign structure. As such, EnCap International IX UK Ltd ("EnCap UK"), a Limited Company under the laws of the UK and EnCap International Delaware LLC ("EnCap Intl DE"), a Limited Liability Company under the laws of Delaware were incorporated by Fund IX. Fund IX and the Alternative Investment Vehicle then contributed the membership rights in the Dutch Coop to EnCap UK and EnCap Intl DE.

Post-Investment Activity

During July of 2015, Sierra participated in the first government sponsored bid round (Call 1). Due to the size of the projects being auctioned and certain organizational restrictions set by the Mexican government, Sierra participated in Call 1 through a consortium with Apollo and Riverstone backed Talos Energy and Premier Oil and Gas. The consortium bid on two of the Blocks offered in the auction (Block 2 and Block 7), which the company believed to be the most attractive assets being offered. Sierra narrowly outbid Hunt Oil for Block 2, and outbid Statoil, Hunt, and ENI on Block 7 and was awarded both Blocks. In order to satisfy Sierra's bid criteria, the Sierra/Talos/Premier consortium is required to reprocess existing 3D seismic



data, shoot additional seismic on one of the Blocks, and drill a total of three wells (one on Block 2 and two on Block 7). Total capital exposure to the consortium is estimated at \$122 million, or approximately \$55 million net to Sierra's 45% interest. The consortium has four years to complete their drilling obligations.

Sierra participated in the fourth government sponsored auction of offshore assets that took place in December 2016. Sierra participated in the auctions through two separate consortiums with operators including Murphy Oil, Petronas, and Ophir Energy. Though the bid round was highly competitive, Sierra was ultimately able to capture two Blocks in Call 4, and will be a non-op partner with Murphy Oil operating Block 5 (Sierra's interest is 23%) and Petronas operating the Block 4 (Sierra's interest is 50%). Similar to Call 1, the assets captured in Call 4 are subject to a minimum work program that must be completed in the next four years that consists of drilling one well in Block 5 and reprocessing a seismic survey over Block 4.

Sierra has also invested in a comprehensive upstream data package to assist in the screening of assets that will be offered in future rounds in order to prioritize their time and energy on areas they view as the most attractive. In addition to continuing to evaluate future opportunities, the team will also focus on identifying and promoting in partners to help mitigate risk and reduce drilling capital exposure.

In late May 2017, Sierra, and the other members of the Talos-operated Call 1 Block 7 consortium, spudded the first private well in the recent era within Mexico, the Zama well. Initial results look very promising as the potential recoverable reserves are large (over 1.5 billion bbls), which would make Zama one of the largest discoveries in the Gulf of Mexico in the last 20 years. In addition to being a highly successfully discovery, the success at Zama helps to further de-risk two additional blocks held by Sierra (Block 5 and Block 11).

In February 2018, Sierra participated in another government auction in a consortium with Repsol (operator), Petronas, and PTTEP for Block 29. The consortium was awarded this block and is extremely enthusiastic about adding this to the overall portfolio. Block 29, in which Sierra owns a 25% working interest, spans over 3,254 square kilometers (larger than any block in the current portfolio) and contains numerous highly economic prospects. Most importantly, the team believes that the prospects within Block 29 possess geologic features similar to that of the highly successful Zama prospect in Block 7.

In Q4 2018, Sierra Oil & Gas ("Sierra") announced the signing of an agreement to sell all of its upstream assets to Deutsche Erdoel AG ("DEA"), a German E&P company. Since inception, Sierra has called \$258.1 million of equity consisting of \$109.9 million from EnCap Fund IX, \$109.9 million from Riverstone, \$36.6 million from BlackRock, and \$1.6 million from Management.

At closing on March 19, 2019, (net of fees), Sierra received \$589.4 million of cash proceeds, and another \$48.0 million on April 4, 2019 as a result of an earnout on our recent Zama appraisal well. Net to EnCap and inclusive of the April 4, 2019 earnout payment, this transaction results in \$242.6 million of net cash proceeds to Fund IX, equating to a 2.2x cash ROI.

Valuation (\$000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Sep-14	\$110,477	\$242,004	\$0	\$242,004	2.19x	33.0%



OGX Holding III, LLC

Fully Realized

Company Description

OGX III is a privately held Midland-based independent oil and gas company focused on acquiring and exploiting oil and gas properties in the Permian Basin. OGX was founded by Richard Coats and Frank Agar in October 2002. Both individuals each have over 25 years of experience as independent owners and operators of oil and gas properties in the Permian Basin. The team initially partnered with EnCap Fund V in 2006 and subsequently sold the majority of its assets to Legend Natural Gas III in March 2008 for approximately \$173.5 million in cash, providing a 2.8x ROI and 92% IRR on Fund V's \$32.2 million investment. The team then partnered with EnCap Fund VII in 2008 and pursued a drill bit growth strategy in the Permian Basin. OGX II was substantially realized through three separate transactions, generating \$331.7 million in cash for Fund VII or a 3.3x realized ROI to date on \$101.0 million invested. OGX II has additional stub value in minor unrealized assets which will enhance the overall returns to Fund VII. OGX III is led by the OGX founders, Richard Coats and Frank Agar, and is supplemented with Austin Campbell and Brendan Fikes, two seasoned mineral acquirers with strong track records in value creation in the Permian Basin. OGX III focuses on a dual-track strategy of (i) acquiring mineral interests in the Midland and Delaware basins and (ii) aggregating and developing unconventional exploration and production opportunities throughout the Permian Basin.

Transaction Summary

Fund IX formed a limited liability company with OGX III in January 2015, committing \$480.0 million. The management team committed \$20.0 million providing total capital committed of \$500.0 million to the company. The investment takes the form of common equity with Fund IX receiving 96% of the available cash flow until an 8% IRR and a 1.0x ROI is earned, and thereafter distributions are allocated on a graduated basis until higher IRR and ROI targets are met. All exploration and production assets will be held in OGX Holdings III, LLC while for tax purposes mineral related interests will be held in Santa Elena Minerals, LP (both entities collectively referred to as "OGX III"). EnCap holds a majority position on the Board of Managers.

In June 2021, OGX III contributed the entirety of its remaining Permian mineral portfolio (~17,300 net royalty acres) to EnCap Minerals in exchange for 9.8% ownership in the pro forma entity. OGX management was bought out of its interests in these contributed assets, and Fund IX holds the equity ownership directly. This investment detail represents the cash investment and distribution activity of the assets not contributed to EnCap Minerals, including properties previously divested and the Viper Energy Partners LP stock retained and held directly by Fund IX.

Post Investment Activity

Starting in January 2015, the company utilized ~\$485.0 million of its \$500.0 million total equity commitment to capture over 33,000 net royalty acres (normalized to 1/8th royalty rate) in the core of the Midland and Delaware Basins at attractive valuations.

In August 2018, OGX III made a \$240.9 million distribution to Fund IX as a result of a partial asset sale to a large institutional buyer. The divested assets included ~2,400 net royalty acres out of the company's broader ~33,000 net royalty acre position (pre-sale). The sale proceeds vs. the original purchase price represented a gross ~8x asset ROI.

In mid-2019, OGX III hired an advisor to test the market for select assets in the portfolio deemed to be more developed or mature. Ultimately, the Company sold two different packages in Q4 2019 and Q1 2020 including: (i) a subset of Diamondback operated properties in the Midland Basin to Viper Energy Partners LP (NASDAQ: VNOM) for 5.2 million units in VNOM (\$150 million of value at signing) and (ii) various Midland Basin assets operated by Pioneer and several other operators to an undisclosed buyer for \$84.5 million in cash. The Company used the cash to pay down debt and to make a \$31 million distribution to

Quarterly Review

As of December 31, 2022

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EnCap Energy Capital Fund IX

Portfolio Companies

Fund IX. Of note, EnCap sold all of the VNOM shares received via open market sales with the final exit occurring in Q1 2022 (average overall realization of ~\$26/share).

In June 2021, OGX III contributed the entirety of its remaining Permian mineral portfolio (~17,300 net royalty acres) to EnCap Minerals in exchange for 9.8% ownership in the pro forma entity.

Valuation (\$000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jan-15	\$258,197	\$518,277	\$0	\$518,277	2.01x	20.6%



Southland Royalty Company, LLC

Fully Realized

Company Description

Southland Royalty Company is a privately-held, Fort Worth-based independent oil and gas company focused on building an attractive asset base through an acquisition strategy focused on a variety of domestic unconventional basins. The Southland management team consists of Bob Simpson (Chairman), Keith Hutton (CEO), Vaughn Vennerberg (President), Timothy Petrus (EVP – Acquisitions) and Brent Clum (CFO). The majority of senior management has worked together for over 27 years and has substantial experience operating in numerous onshore domestic conventional and unconventional basins. This team was the core group responsible for making over \$15 billion in oil and gas acquisitions that created the basis for XTO's approximately \$41 billion sale to Exxon in 2009. Southland's strategy is to acquire producing, operated oil and gas assets in areas with multiple rich source rocks targeting a series of known productive zones with stacked pay potential and grow production and reserves through efficient management of operations as well as through development, exploitation and exploration.

Transaction Summary

In February 2015, Fund IX committed \$431.2 million, Fund X committed \$646.8 million and management committed \$22.0 million, providing a total equity commitment of \$1.1 billion to the company. The investment is structured in the form of common equity with the EnCap funds receiving 98% of distributed cash until an 8% IRR and 1.00x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met.

Post Investment Activity

On March 31, 2015, management closed on the acquisition of Energen's San Juan Basin asset for \$395 million. The asset consists of ~205k net acres (99% HBP, 85% operated) located on the border of Colorado and New Mexico. At the time of the acquisition, Southland's purchase price was fully-underpinned by PDP value with numerous upside opportunities, several of which are economic even at depressed commodity prices.

On June 30, 2016, management closed on the acquisition of Anadarko's Green River Basin asset for \$610 million. The asset consisted of ~320k net mineral acres and ~34k net leasehold acres (99% HBP or Mineral Ownership) located in southern Wyoming. At the time of the Green River Basin acquisition, the purchase price was predominantly underpinned by PDP value with numerous upside opportunities, several of which are economic even at depressed commodity prices.

In Q4 2016, EnCap and Morningstar (entity majority owned and controlled by Southland management) completed a sell-down of ~\$132 million to reduce EnCap's overall exposure to Rockies gas. The sell-down allowed Morningstar to increase its commitment from 2% to 20%, which improves the alignment between EnCap and Southland management. The new commitment amounts are as follows: \$352 million from Fund IX, \$528 million from Fund X and \$220 million from Morningstar.

Southland filed an amended plan of reorganization during the first quarter of 2021, and the plan was approved during the second quarter of 2021. There was no impact to the Fund due to the wind-down of Chapter 11 proceedings.

Valuation (\$000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Feb-15	\$310,179	\$0	\$0	\$0	0.00x	N/A



Phillips Energy Partners IV, LLC

Substantially Realized

Company Description

Phillips IV is a Shreveport, Louisiana based oil and gas company focused on acquiring producing and targeted non-producing fee mineral interests throughout the United States. The management team was led by Chris Phillips, the former co-founder and Executive Vice President of Texla Energy, a gas marketing company representing over 150 oil and gas producers. In August 2006, EnCap Fund V committed \$1.5 million to Phillips Royalty Partners 2, L.P., which sold in May 2008 for \$2.5 million net to Fund V representing a 45% IRR and 1.7x ROI. In April 2007, EnCap Fund VI committed \$30.6 million to Phillips I to aggregate smaller royalty interests into larger packages for sale to acquirers of royalty interests, thereby taking advantage of the arbitrage in purchase price metrics between small and large royalty packages. In February 2010, Fund VII committed \$51.0 million to Phillips II and invested the capital in a balanced mix of income producing PDP assets purchased at attractive valuations and highly prospective non-producing shale/resource acreage. In August 2012, Fund VIII committed \$98.5 million to Phillips III and continued to invest in a balanced mix of producing assets and non-producing shale/resource acreage. Similar to its predecessor companies, PEP IV will acquire and own producing and non-producing mineral fee interests and overriding royalty interests throughout the United States.

Transaction Summary

In May 2015, Phillips IV was closed with a \$200.0 million equity commitment comprised of \$197.0 million from EnCap Fund IX and \$3.0 million from management. The investment is structured in the form of common equity with Fund IX receiving 98.5% of distributed cash until an 8% IRR and 1.1x ROI, and thereafter distributions will be allocated on a graduated basis as certain ROI targets are met. Fund IX holds a majority position on the Board of Managers.

During Q3 2016, EnCap parted ways with PEP IV management, and the company's assets are currently being managed on a contract basis.

In Q4 2016, PEP IV sold 852 net royalty acres in the STACK play to a publicly traded gold-focused royalty company for \$8.1 million. Inclusive of the sale proceeds, PEP IV has distributed \$13.3 million net to Fund IX. PEP IV still owns ~5,000 net royalty acres in the core of the STACK play in Oklahoma. Operators in the area continue to aggressively drill wells in and around the company's mineral position.

Recent Events

During Q4 2022, EnCap closed on the sale of its consolidated STACK mineral assets to 89 Energy for ~\$230 million of total consideration. The PEP IV mineral assets represented ~8% of the total consolidated assets sold to 89 Energy. The \$230 million 8/8ths sales price translated to ~4.7x projected 2023 EBITDA and was meaningfully above the PDP PV-10 value of the assets, which at the time was ~\$155 million at strip pricing. At closing on October 7, 2022, PEP IV received \$15.0 million of proceeds. In addition to the proceeds received at closing, EnCap has the opportunity to receive an additional ~\$3.3 million of proceeds during 2023 from holdbacks and post-closing title defect curative payments.

Valuation (\$000's)

See Valuation Assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
May-15	\$39,630	\$50,704	\$3,732	\$54,436	1.37x	6.8%



QStar II, LLC

Fully Realized

Company Description

QStar II is a privately-held, Houston-based independent oil and gas company focused on the identification, acquisition, and exploration of liquids-rich plays in various onshore US basins. QStar II is led by Gerald Carman (CEO), Joel Saber (CFO), and Ian Murry (VP - Engineering). Management has an impressive track record of creating value both individually and collectively. Most recently, QStar, LLC (Fund IX) and its 25% working interest partner sold ~36,000 net acres in Howard County, TX (Permian basin) to SM Energy for \$1.6 billion in December 2016, generating over a 2.0x cash ROI for Fund IX and closer to a 3.0x ROI when accounting for unrealized SM stock. QStar II's strategy involves employing a data-driven approach, and the company will rely extensively on subsurface data and historical production and well data to identify areas that have yet to be exploited with modern completion techniques. QStar II plans to be opportunistic in its approach and will either employ a lease & drill or acquire & exploit strategy, depending on the opportunity set and the associated economics. Management will initially focus its efforts across multiple basins in Texas, where it has a great deal of experience and a strong network of relationships.

Transaction Summary

In March 2017, Fund IX committed \$394.0 million and management committed \$6.0 million, providing a total equity commitment of \$400.0 million to the company. The investment is structured in the form of common equity with Fund IX receiving 98.5% of distributed cash until an 8% IRR is achieved. Distributions thereafter will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

EnCap and QStar II management formalized the termination of the enterprise in Q1 2019. This decision was made for a number of reasons, including personal reasons for certain key executives. While QStar II's result was disappointing, QStar I generated meaningful value to Fund IX through its \$1.6 billion monetization to SM Energy in December 2016.

Valuation (\$000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Apr-17	\$12,830	\$221	\$0	\$221	0.02x	(88.9)%



ENCAP INVESTMENTS L.P.

Energy Capital Fund IX

Section IV: Financial Statements

Audited 2022 financial statements to be provided by March 31, 2023